

IN PRIVATE

Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: Monday, 26 February 2024

Start Time: 10:31 Finish Time: 15:39

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for the
Respondent

PROCEEDINGS – DAY 5
IN PRIVATE

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(Transcript prepared without access to case documentation)

A

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: My Lord, good morning. My Lord, with your permission ----

MR JUSTICE MacDONALD: Yes, thank you.

B

Mr KARIM ZAHMOUL, Resumed

Cross-examined by MR MOLYNEUX (Cont'd)

C

Q. There is a clip of correspondence, Mr Zahmoul, I was referencing at the end of last week. That is because we did not have the run of this for a hard copy. We all agreed that it was not fair on you to ask questions if you did not have it. It should look something like this?

A. Yes.

D

Q. So, it is a run of correspondence. The first letter was 30 June?

A. Yes.

Q. And if we flip through to get to 2 July which is about 7 or 8 pages in?

A. Yes.

E

Q. You said to his Lordship that your intention was always to wait until updating disclosure.

A. Yes.

Q. And then to tell Nadia about the Coinbase equity?

A. That is correct.

F

Q. In fact, you instructed your solicitor to do precisely the opposite to address the FDR without any updating disclosure at all, did you not? Look at this letter ----

A. That is correct.

G

Q. Let us look at it. "Dear Diana", 2 July 2021.

"Nadia Zahmoul and Karim Zahmoul: Finances"

"I write generally and in response to your letter of 30 June.

H

"Given the sheer number of our client's bank accounts and the fact that the statements provided with his Replies are up to date, I do not propose providing updating disclosure in addition to this, particularly given the costs involved, save for up-to-date statements for my client's crypto currency accounts, as there has, of course, been significant movement in the value of crypto currencies since my client's Form E. On this basis, my client is content to proceed with

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A the private FDR without your client updating her disclosure also.
Please confirm this is agreed.”

It could not be clearer, could it, that you were proposing ----

A. No.

B **Q.** -- that there would be no updating disclosure over and above what you had provided in your replies to questionnaire. Correct?

A. Not correct.

Q. How do you explain this letter then?

C **A.** So the same way my wife misunderstood Coinbase for crypto and Coinbo(?) for Coinbase in many of her response to Ms Campbell, my solicitors, when they meant “crypto” here they meant crypto including Coinbase as a venture capital that became public. This is how they wrote this. As I said to you last week, I have evidence in the form of excerpts of conversations from August 3, August 27, September 9, 2021, March 3, 2023, May 5 2023 -- 2022, sorry, this is 2022 -- and July 7, 2022 -- excerpts of conversation with my solicitor that says very, very, very clearly -- and I am happy to share this with the court ----

E **Q.** I am sorry, this is between ----

A. -- I was told -- I was told -- I was told ----

Q. Hang on, hang on. Just stop, please. This is between you and your solicitors ----

A. And I was told ----

F **Q.** The reason I am interrupting my Lord is because I am not sure whether this is privileged material.

A. I am not saying anything. I’m just ----

G **MR JUSTICE MacDONALD:** Just pause. The difficulty with this is that if one goes down this line of questioning, one necessarily has to skirt along the boundaries of privilege, even really asking, well, what were -- your instructions to your solicitor were X, which to a certain extent means you are asking about the information, but I think the answer is just seeking to explain it.

H **A.** Yes.

MR MOLYNEUX: My Lord, I am asking to explain, on the face of it, is his instructions to his solicitors saying “do not update”.

A MR JUSTICE MacDONALD: Well I think that is what Mr Zahmoul is trying to explain to you in his answer.

MR MOLYNEUX: If he wants to waive privilege then that is obviously a matter for him, but I think I am entitled to put this question as I am because on the face of it, it is entirely ----

B MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- contradictory, with his case.

MR JUSTICE MacDONALD: Well, let Mr Zahmoul answer it then?

C A. So, on all these excerpts of conversation that I have provided to my current solicitors, I am not sure if Ms Campbell has seen it, but my solicitors have, there is zero doubt that the intention was all along to provide, in the updating disclosure, the Topanga Canyon converted into Coinbase. Now, I was told by Mr Duncan Brook, I think my last -- the person that was in front of you -- that I could. There was precedence of sharing this, you know, very, very small segments of communication between me and my solicitors to prove a point that was so fundamental to your lack of belief of what I am saying. So, I am happy to do this. If his Lordship would like that, I'd be content to share these excerpts of conversation, and they could not be clearer. So I am... You know, and again, the first answer to your question is that what you say here -- when you read:

"I do not propose to provide updating disclosure in addition to particulars of the cost involved, say for the up-to-date statement on my client's cryptocurrency..."

F -- what is meant here by my solicitors -- and again, it is my solicitors not completely understanding the difference, as Nadia, between Topanga -- whether it is crypto, because it is Coinbase, and therefore Coinbase is crypto -- and that is what she meant by this.

G There was no doubt in her mind that there was an updating disclosure of the Topanga Canyon transactions. Moreover, if I may, this was day -- we are talking about if FDA is day one, we are now day 1054, This was going on at day 50, 30, 50. So, and I was, like I said, I was in Morocco at the time. I just travelled back to Lisbon; went to France to basically be there for the FDR; had a conversation with Nadia and Mr Nick Warr on July 9th ----

H MR JUSTICE MacDONALD: I understand your point about being busy. Yes.

A MR MOLYNEUX: My Lord, I am not running Mr Zahmoul's case, but I will be saying to you that the only evidence before you, or the only evidence that is admissible, is the open correspondence.

MR JUSTICE MacDONALD: Thank you.

B MR MOLYNEUX: And accordingly, I am not going to pursue any questions in relation to that because privilege has not been waived. (To the witness) Just look overleaf, because I think one of the other things you told his Lordship at the end of last week was that your attention was being pulled in so many directions that it was not possible (I am
C paraphrasing) to apply the entirety of your mind to your replies to questionnaires, which is why updating disclosure was so important. But that is not what you are saying in this letter, is it? Because if you look overleaf on the second page of the letter of 2 July, four paragraphs up?

D A. Please read it.

Q. "In taking time to ensure his replies are as full and as detailed as possible ----

A. Right.

Q. -- he has endeavoured to do the complete opposite of that which is now being accused."

E MR JUSTICE MacDONALD: I think it is the next page over in fact. Four paragraphs up from the bottom?

A. Okay, yes.

MR MOLYNEUX:

F "In taking time to ensure his replies are as full and as detailed as possible, he has endeavoured to do the complete opposite of that which is now accused. He acknowledges that your client has sought significant reassurance in regard to the financial picture, despite being fully involved over the years, and has done absolutely everything he can to offer comfort."

G You are saying here that you had actually spent an awful lot of time and effort in the preparation of your replies, are you not? So there was no excuse for not having provided the updating in relation to Topanga, was there?

H A. This is just before we updated Topanga, is it not? Is it not? July 2nd is when we were ready to change -- to do the updating disclosure. I mean, you know, you have to put it in perspective for his Lordship and in context. As I said, we started FDA on April 7th. I spoke to my lawyers on April 9th. The direct listing was April 14th. We were extremely, extremely busy to come up with the response to questionnaire, both for the

A *Imerman* and for the response to questionnaire. This amounted to, I believe 3,200 pages for one and 1,500 pages for the other, and it was a pretty gruelling period and I was not in the UK. I was in Dakhla in Morocco and it was an overwhelming task, Mr Molyneux.

B Q. You were kite surfing, were you not, in Dakhla?

A. Do you know why I was kite surfing?

Q. At the PK25 resort.

A. So, at the PK25 which is \$100 a night all-inclusive of everything -- food and drinks and everything. Yes, it was basically trying to save money to do something that could get myself out of the stress I was in, to try to basically be able to stay sane, because I was not allowed to see my daughters, not allowed to speak to my daughters. My wife would not allow me to speak to them, and so I was doing my best to deal with it as best I could, given this was a pretty traumatic experience in my life after my father has passed away and after I was dealing with my sister to support and everything else that was going on. When it was announced to me on January 21, 2021 that Nadia decided to proceed after we purchased the house, I did not know what to do. I did not want to bother with my sister, who's a very sensitive person. And therefore I decided to go and exile myself in Morocco to be closer to her father so that I could potentially instil reasons into her because I thought that her father had the capacity to do that. It turns out that I was told by her brother that he was... Anyway -- and therefore I then ended up going to Dakhla at PK25, as you said -- actually it was more the other side of the hotel, which is called Dakhla Attitude. And the period I was there was during Ramadan. I was the only person, the only guest in the hotel with the staff, just so you have a bit of -- so you can put the picture a little bit more precisely. And this was done while I was remote communicating with my lawyers that I had never met, that were introduced to me by Mrs Stebbing, the wife of the oncologist of my mother. And I did the best I could. And I understand today, and I have apologised. But the reality is that there was a huge windfall of \$7 million that has been -- that we have basically squandered in the past year and a half. This is years. We are talking about day 70, and there was maybe 100 attempts at communicating with anyone, anywhere, anytime that she wanted. And today we are now day 1054. We have had ----

MR JUSTICE MacDONALD: I have the point?

A. Thank you.

A

MR MOLYNEUX: Mr Zahmoul, let me just summarise this. Your clear intention, as evidenced by this letter, was to deceive your wife by not providing updating disclosure and by never referencing the windfall in relation to Topanga Canyon, which converted into Coinbase equity. That is the reality of it?

B

A. No. It isn't.

Q. Let us move on. Could you look at 842 please?

A. 842.

MR JUSTICE MacDONALD: 842, yes.

C

A. Yes.

MR MOLYNEUX: So Nadia says that you are a meticulous record keeper, as would be expected from someone who works or has worked in the financial services industry. Is that a reasonable thing for her to believe?

D

A. No. I am human too.

Q. Because at 842, if you scroll half the way down the page, you are asked a question about the Fidelity investment account. which I think was included in your Form E, separate to your 401K account, referred to -- in fact it is referred to in the scheduled of assets provided by you to Nadia in the June of 2020?

E

A. Yes.

Q. And you say this was a mistake?

A. Yes.

F

“At the time the Respondent believed he had a brokerage account with Fidelity as well as the 401K, but when accessing his Fidelity account to obtain the relevant documents for his Form E, the only account he had was the 401K.”

Which is true -- the original disclosure in that schedule of assets or that revision to it?

G

A. Say that again -- which is true?

Q. Which is true -- the presentation of you having a separate Fidelity brokerage account in the schedule of assets you shared in the summer of 2020 or what you say in your replies to questionnaire here?

H

A. What I say in my reply to questionnaire. So, Fidelity, there was an account ----

Q. We can move on because you have dealt with it. Could you look at 148, please?

A. 148.

MR JUSTICE MacDONALD: Yes.

- A. Yeah.
- A MR MOLYNEUX: So this is a letter from Withers of 25 May 2022.
- A. 2022, yeah.
- Q. Do you have that?
- A. Yeah.
- Q. It is item 10, so the right-hand side towards the bottom of that page, you were asked about "Details of any cold storage wallets which your client has or holds an interest either in his sole name or jointly with others." And your answer to that is found at 152. It said on your behalf: "My client does not have any cold storage wallets."
- A. Yes.
- Q. Could you look at 1837 please?
- MR JUSTICE MacDONALD: 187?
- MR MOLYNEUX: 1837.
- MR JUSTICE MacDONALD: Sorry, 1837?
- MR MOLYNEUX: That looks like this is the wrong page reference. Just bear with me for one moment, please.
- A. This is the 5th, 26th. It is probably there.
- Q. I will have to return to that because there is a cut and paste of -- I can put the assertion to you Nadia's behalf and then we can look at the document subsequently. There is a purchase of Ledger -- I think, a Ledger wallet. You are ahead of me because you can see the question that I am going to ask about this. And Nadia's understanding is that Ledger is a cold storage wallet, and because she sees in your bank statements the purchase of something from Ledger, her assumption is that that is you purchasing a cold storage wallet?
- A. Correct.
- Q. Is that what you were doing?
- A. I bought three treasures, Ledger wallets. They're in my bag right here, if you'd like. I am happy to show them to you so that his Lordship can see them. They've never been used, they're empty. As I said before, I am an early adopter. I was interested in how things operate, how things function, so I bought these Ledgers, yes.
- Q. So these are cold storage wallets, but you said they have not been used?
- A. Never. But they're here.
- Q. Because of course, from Nadia's perspective ----

- A. Hang on.
- A Q. Just pause for a second, okay, because I want to put this to you. From Nadia's perspective, she asks, in May 2022, whether you have any cold storage wallet. Your solicitors reply and say you do not have any cold storage wallet. She sees ----
- B A. No.
- Q. -- you purchasing, prior to 25 May 2022, a cold storage wallet and she assumes ----
- A. Because ----
- Q. Just pause. She assumes from that so that you are not telling the truth. And it sounds like you have not told the truth, but it is a ----
- C A. That's not correct. Well, you did have a cold storage wallet. You just have not used it, I think is your case.
- A. You are misrepresenting to Lordship, what is meant by a "cold storage wallet".
- Q. Explain that?
- D A. What Nadia meant was -- cold storage wallet in the way Nadia meant it is basically a wallet like those lost wallets that Nadia has, or the lost wallet I have, that has in it cryptocurrency and Bitcoin that is hidden, that is not disclosed. What I have is -- like I bought a calculator. So I have a little machine that basically allows you to give you a code that basically once you charge it, you can connect it to or let them go through this whole process that I don't even know, because I've never done it, and basically remove the coins -- or not remove; the coins stay in the public wallet, but are also, you know, embedded in that hard -- in that USB-type device that has its own encryption of passkeys
- E which makes it impossible for somebody to take these coins. So, like I said, I am happy to share with the court and give them to Nadia and if she wants it, she can have her shadow expert do what she wants with them. I have never -- that is not the meaning that Nadia stated, I have cold wallet, as you put it. It is not cold wallet that have any
- F cryptocurrency and that have ever had any cryptocurrency that have ever used for any cryptocurrency storage. That is what was meant. by "cold wallet" in the way she drafted these questions -- or how I understood it.
- G
- H Q. Given that she was not to know that, do you not agree with me that it would have been more sensible and a more accurate response to this question to say what you have just told his Lordship, which is "I purchased these wallets; I have not used them; they contain no cryptocurrency at all." That would have been the comprehensive and truthful answer, would it not?

A

A. I don't think so, but okay, look, I'm sorry; I'm human; I've made a mistake. If that's the way it should have been said, that is not the way I said it. I maintain the way I said it because of the way I have understood it. And so I've never had -- I've never used or had any crypto Ledger that I have used for anything to do with crypto. I have purchased them to understand and see what they're like. I was maybe planning one day to use them, but I have never used them.

B

Q. Mr Zahmoul ----

C

A. And to have this crypto Ledger wallet, Mr Molyneux, you need to have -- you know, as you've seen from the crypto expert and from everyone, that you need to have crypto sitting out there in wallet on the web, and because of my fear of losing them, which I have lost some (Nadia has lost some), I did not trust myself in having these devices. I lose things all the time, phones and the likes, credit cards. So, it was for me important to have all of my crypto in exchanges, which is why, as you've seen and as you've heard from the crypto expert, most of the stuff was in Coinbase, was in Binance, was in exchanges. The few cryptocurrencies that were not, they were *de minimis* at first. They were in Zerion -- what we call Zerion, but they were in MetaMask wallets and things for experimenting to understand you know what an NFT was, to understand what it was. It was most experimental for me to understand and learn. It was not to invest in anything.

D

E

Q. I am going to be saying to his Lordship that time and time again in this litigation, this sad story of this litigation, you are the author of your own torture when it comes to the questions and the costs because you are asked questions and for whatever reason you provide answers that are either misleading or incomplete or confusing. Is that a fair criticism?

F

G

A. Well, you could say it is fair, but in counteracting that, I have also offered more than 100 times for clarification, to offer anyone that she wants to clarify. I have written to Ms McGregor on February 17, 2023, and sent her an email, even though I have not spoken to her in 20 years. She was a classmate of Nadia. She's chased the money of Pablo Escobar. She is a forensic expert in anything you can imagine. Justice MacDonald has met her. I have sent her an email in cryptic details, which I hope you can read to his Lordship, which stated: "I am glad you are involved. I am happy to sit with you and answer any question you have on anything to help clarify and relieve Nadia in her beliefs." I mean, there's not much more I can do. The fact that I purchased three Ledgers on American Express on a card and I disclosed this in my financial disclosure, I

H

A

mean, I do not think it is misleading to tell the judge: no, I do not have cold wallet, because cold wallet means you have cold wallet, where you have crypto in them. It's not just the device of the Ledger. She didn't -- the question the way it was posed it was it was posed in a way to say I'm hiding more assets in these devices when I'm not.

B

MR MOLYNEUX: I am just going to pause for one moment, your Lordship.

MR JUSTICE MacDONALD: Yes.

A. Could I show you the devices?

MR JUSTICE MacDONALD: No, no. It is fine. Thank you.

C

MR MOLYNEUX: There are some matters in relation to your Coinbase account that I am going to return to. I am going to try and do this briefly, but these are important things for Nadia to have put to you, and so I want to do them justice?

A. Sure, absolutely.

D

Q. Could you look at pages 3648 and 3649?

A. 3648?

Q. 3648 and 3649. So these are emails passing between you and the Coinbase team?

A. 3649. Please go ahead.

E

Q. You have to indulge me on this a little bit more slowly than I might otherwise do, but just bear with me.

A. I am there.

Q. So on Thursday 11 of January, there is an email from you.

F

"Dear Mrs Marsh, I trust you are well.

"I am reaching out to you in continuation of the email you sent to Ms Landells from Withers on the May 13, 2022, because of the unwarranted attempt at freezing my Coinbase account without a court order at the time.

G

The divorce seems unfortunately continuing. My wife maintains a stance that I possess multiple Coinbase accounts across different regions. Although I have repeatedly confirmed with your customer support team that I hold a single account registered under the email Karim@zahmoul.net, regrettably, I am unable to write documented proof from these supportive interactions. In light of this, I would be grateful if you could reiterate, as previously suggested in your correspondence to Withers the details of any and all accounts I maintain with Coinbase globally along with their respective balances. Furthermore, while your email indicated that my account is associated with Coinbase's Irish entity, your support team recently informed me that it is in fact with the French entity.

H

A

“For the sake of clarity, I initiated an account with Coinbase in 2014 using the email Zahmoulka@gmail, which was based in the United States. That account has since been closed. All funds were transferred to the account under Karim@zahmoul.net.

“Confirmation of these details will be ...

B

“I remain available should you require any further information.”

You then produced statements in relation to Coinbase and I was going to ask you to look at those because I want you to just explain a couple of things.

A. Sure.

C

Q. First of all, can you tell his Lordship when the other account, the second account, the one which is Karim@gmail, was closed?

A. So it was closed -- well there is “closed” and “closed”. It was not accessible to me, but closed in 2024 when I reached out to them, basically because there were these two emails that were basically usable with Coinbase, but only really one was accessible. So as you can see from the statements from the karim@zahmoul.net email, the last transaction in '17, I could never access it after that. Every time I logged into Coinbase, it defaulted into my -- sorry, I’m talking about the Zahmoulka@gmail.com -- it defaulted into my Karim@zahmoul.net account, which was the one, as I said in one of my statements, I started dabbling into crypto after I left Barclays. So, in the summer of 2014, I was in the United States at this course at Singularity University. And that is when I opened my first account in Coinbase, and I opened it with a US phone number and my -- what I call going forward, my coin -- my crypto -- it became a crypto email, which is Zahmoulka@gmail.com. Then when I went back to the UK, where I started working at Temporis, I was logging on from my UK IP address, and Coinbase kind of decided that it was not acceptable that I had a Coinbase account in the US, Coinbase account in the UK. So they basically closed down and moved the balances to my karim@zahmoul.net email address. And that is the only account I had with Coinbase, and that is what you see in the history of both of those statements. So, if you look at the statements that were provided both in January, because another complexity is that over the years, when you went to Coinbase to get -- which is when why I update my FD, my form E, had completely different reports from Coinbase than I have been able to get recently, because I have not been able to reach high enough within the support level and high enough, thanks to Ms Marsh, to get actual -- Because Nadia at one of the hearings

D

E

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H

A

where they had the fuzzy map, where Mr Southgate showed that the sum of the money coming in and out was adding up to an extreme amount that I hadn't disclosed ----

Q. And I think you say Coinbase Pro is not included on that?

B

A. No, no. Coinbase Pro is not this. Coinbase Pro is very different. I can get to going Coinbase Pro if you have a question on that when I am done with this, but that is not the same.

Q. Okay/

C

A. So Coinbase then sent me statements that included the balances, because Nadia was saying that there was no balances, so there was no beginning balance, and that she could not actually tally up all the numbers that went in and out, which is then in September 9, 2023, after the hearing on September 7. Coinbase support was able to provide me a completely different statement I hadn't seen before, which is the one that you start seeing from that hearing onwards. And then when I spoke to Ms Marsh, she sent me the same for both my email accounts. And that has balances. Every time there's a transaction, it shows you the net balance in the currency that the transaction has happened then. Like Coinbase Pro/GDAX was the original Coinbase Pro. They migrated. It became as a brand name, it was a trading platform of the security of the... If you imagine like E-Trade or some other brokerage account, you have the brokerage account that holds all your assets and custodies all your assets, and then you have a trading platform where you can trade and be a market maker as opposed to a market taker. If you trade on Coinbase, you pay large fees. If you trade on CoreBid Pro, you can put an offer or a bid, and if you get hit or if you get lifted, then you pay less fees when you transact.

D

E

F

Q. Mr Zahmoul ----

A. I am trying to explain.

G

Q. If I just pause you there?

A. Sure.

H

Q. And as his Lordship will tell me whether I am being unfair to you, but my question was a pretty narrow one, which is: when did the Gmail Coinbase account closed? I really just wanted a date?

A. It was -- I thought I answered. Early '24 when I went back to the support and I asked them. So basically I had two accounts, but one of them was dormant, not functioning. I couldn't do anything with it, but it was still there -- a little similar to the Bank of Jackson Hole that was not usable, but was open, but not open, and was kind of a hybrid.

A

Q. So the existence of the two accounts has concerned Nadia, and these questions flow from those concerns. I want to ventilate them so you can tell his Lordship what your response is, okay? Now, I do not think this will take very long for you to deal with, but just look at page 3651.

B

A. 3-6?

Q. 3651?

A. Yes.

C

Q. Because this is, I am going to call it "the second account" -- it is the Gmail account, it is actually the one that I think was open first of all, was it not?

A. That's correct.

Q. You will see there, there is... You received Bitcoin from an external wallet on 29 July, so "7/29", the American annotation. Bitcoin from an external wallet, one Bitcoin, \$2,705?

D

A. Yeah.

Q. Now, when Nadia looks at the statements for your other Coinbase disclosure, which is at 2340 -- and 2838 ----

E

A. 2-3?

Q. 2340 -- she looked -- sorry.

A. Yes.

F

Q. If you look at 2340, Nadia makes the point that there is no entry, no corresponding entry in relation to the VAT date, which is the 29 July, for the transfer of one Bitcoin. Is there an explanation? It may be the explanation is there are two separate accounts, so there will be no interaction or interface between the two, but just tell me, in your own words, what the answer to that is.

G

A. It says external account, right?

Q. Yes. External account is not -- that is a Coinbase account. She asked me to look at her Coinbase account and she was suggesting it is an external account that is not monitored, that account. So Nadia has asked me to put these specific questions to you in relation to these two accounts, which is what I am doing. And I just want you to explain to his Lordship why.

H

A. I am trying to understand the question. So, this is the other Coinbase account, which I believe you are showing his Lordship, I think, the less comprehensive statements. In

A

2340, there is another page where it has every single transaction in the same format as the format we just looked at for this ----

Q. So I think that might be at 2838?

A. 2838.

B

Q. There are three iterations of Coinbase activity during this period.

A. 2828. Shall I go there, or do you want ----

Q. If you go there, that would be helpful. My Lord, could you just give me one moment?

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Thank you very much.

C

A. Yes, that is the one.

MR MOLYNEUX: My Lord -- a bit unusual, but I am going to ask Mrs Zahmoul just to come and sit here for a moment so that she can help me through these questions. These are very important questions and I want to make sure that I get it right. (After a pause) (To the witness). I am going to ask you to look back at the email that we were looking at a moment ago, if that is okay, which is the ----

D

A. The Ms Marsh email?

Q. Yeah, the Ms Marsh email, please.

E

MR JUSTICE MacDONALD: Which was at page ----

MR MOLYNEUX: Which was at page 3648?

A. Yeah, I am there.

F

Q. So Nadia points out that there should be an attachment to this letter which she has not seen?

A. An attachment. Where is that? Where is that indicated? You mean the letter to Mr Zahmoul, 15 Jan 24.

G

Q. Correct. Just indulge me?

A. I can produce it. I don't know.

Q. I think at the bottom -- I should look at this page myself. At the very bottom of 3648, you will see what looks like it would be an attachment because it says, "Letter to Mr Zahmoul, 15 January 2024 .PDF."

H

A. There must be one.

Q. She hasn't seen that?

A. Would you like me -- can I go to my computer and send it?

A

MR JUSTICE MacDONALD: Well, I think we will carry on with the questions and then if it needs to be introduced later ----

A. No problem.

MR JUSTICE MacDONALD: -- fine.

B

MR MOLYNEUX: So you told his Lordship before that this account had been closed and transferred and Nadia says that she cannot see any evidence of anything being transferred from this Gmail Coinbase account to any other Coinbase account and she has very diligently cross-referenced all of the documents over the course of the weekend. Are you able to explain where the transfer is to because on the face of it, there is no transfer?

C

A. Yeah. So I cannot. All I can say is that, I mean we should have Coinbase, but my understanding is my account -- my account with Karim@zahmoul.net was the successor of Zahmoulka@gmail.com. So I suspect the balance is at one point in time, and I am sure Nadia has more judicious than I have on this -- must have a starting balance that comes from that account. But, again, we should ask Coinbase if that is unsatisfactory.

D

Q. Mr Zahmoul, this is your case. I am just asking the question?

E

A. I haven't looked into it. I mean, I have done my best to provide as much information at every single question she has asked.

Q. And if you look at 3648, you will see ----

A. 3648?

Q. 3648, which is the letter from Ms Marsh?

F

A. Yes.

Q. "For the sake of clarity..." three paragraphs up from the bottom?

A. Yes.

G

Q. "For the sake of clarity, I initiated an account with Coinbase 2014 using the email Zahmoulka@gmail.com, which was based in the United States. That account has since been closed and all funds were transferred to the accounts and the ----

A. That was my understanding.

H

Q. -- Karim@Zahmoul.net." And as I say, there is no evidence of anything being transferred. She would expect that and cannot find it. Are you able to provide any explanation?

A

A. I believe I have provided the explanation in providing all the statements from Coinbase for the pre and post transfer. So, if anything's unclear, I mean, either I or Coinbase can provide it. I am not sure how else to respond to this.

Q. Ancillary to this ----

B

A. I will, just to be clear, after -- after this account was open at Zahmoul@karim.net, I was not able to get into the other account. It was not possible for me to access it.

Q. Can you tell his Lordship when that second account, the Zahmoul.net account was opened?

C

A. I think early '15, I believe. When I moved back to the -- after the -- I was in the US in '14 for this... I guess it says here, December 30, 2014.

Q. I thought that was a European account or certainly ----

A. No, that is -- (Both speaking at once)

D

Q. -- European account?

A. So, to be clear, when the address on my account came to be my London address at Hare House, Coinbase basically switched to Irish entity coverage for my account. Then today, when I gave them -- when I moved to Portugal, I had to give them my new KYC. They saw my French passport even though they had my Portuguese address. They claim I have a French account. So I had to explain to them, even though my address says 158 Rua Rodriguez Sampaio, Lisbon, Portugal, because they have my French passport, they claim I am French and they report this to the French authority. This is kind of what I have gone through with the support. Look, I have written to Ms Marsh, which is the general counsel at Coinbase. We can draft a letter that Nadia can draft and we can have her answer(sic) the question that she'd like to answer. I have no problem with that. I mean, there is nothing hidden here. It's all out in the open. How they switched this because I had two accounts and they couldn't accept for me to have two accounts -- or when did that happen exactly? When did the SSC, you know, tell them not to do that -- or the FCA? I am not sure.

F

G

Q. Can you tell me when the dot net account was opened please, Mr Zahmoul?

H

A. My understanding according to this, and I do not recall exactly, 30 December 2014.

MR JUSTICE MacDONALD: Which page are you looking at there

A. I am looking at 2816.

MR JUSTICE MacDONALD: Thank you?

A. So, the account period, statement and -- they've given me the exhaustive statement, so I can only assume that that is the date.

THE APPLICANT: And the Gmail?

A. And the Gmail account.

MR MOLYNEUX: And the Gmail account please, Mr Zahmoul?

A. So, where is... You shared with us where the Gmail account was before that.

Q. I think it was 3651. So that seems to have been open on October, which matches when I was in California, October 14, and October 18, 2014 is when it was opened. So then I was in America when that happened. Then I went back to the UK working for Temporis, going back to my house at the time in Hale House. And that is when, because I was logging on to the IP address in the UK, I ended up opening a karim@zahmoul.net account. And then it became, I guess, confusing for Coinbase. And that is why I was at some point migrated to the UK-based address, which was managed out of Ireland. And this, again, we can... I mean, it would be my pleasure to have Nadia draft any letter she has and she can send it to Ms Marsh, and she can answer your question?

MR MOLYNEUX: Thank you. I am going to ask for a very short break, if I may. That would be very helpful.

MR JUSTICE MacDONALD: Yes, we will take five minutes, and I will come back.

MR MOLYNEUX: Thank you very much.

(A short break)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MS CAMPBELL: Before Mr Molyneux continues, I would just like to make a note for everybody on the record as it were because I am getting concerned about the amount of time, court time that is being used to consider the cross-examination of my client ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- and I appreciate everybody is doing their best professionally but at some point the court needs to take notice. We have now spent five hours, 35 minutes of court time allowing Mrs Zahmoul to give instructions and direct the case the way she wants to. That is over a court day and of course you are properly paying attention to make sure that she's able to put her case ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- and of course I expect that but fairness is fair to both parties. My client has been in the witness box since Thursday and he is entitled to have the case put and

A

then be released. Whilst we have all done our best to accommodate Mrs Zahmoul, I put a marker down now that I think that this has gone on a long time and we should focus towards the end of the evidence. I appreciate, my Lord, this is your court and obviously I will be bound by anything you say.

B

MR JUSTICE MacDONALD: Yes, thank you. Yes, Mr Molyneux.

MR MOLYNEUX: My Lord, what am I meant to say to that?

MR JUSTICE MacDONALD: Well, Mr Molyneux, I do not think I need to reply. I think we will get on. Thank you.

C

MR MOLYNEUX: I am doing my very best to represent my client and to assist the court ----

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- in the most time-efficient and cost-effective way that I can.

MR JUSTICE MacDONALD: Yes, thank you. Yes.

D

MR MOLYNEUX: I am going to do this slightly unusually, if you will indulge me, and I do ask your indulgence, because there are points that Mrs Zahmoul is very keen that should be put, and I want to make sure that it is being done, understanding what Ms Campbell has just said to you, that it is being done properly.

E

MR JUSTICE MacDONALD: Well, it is my intention, Mr Molyneux, to finish the cross-examination today. I have to rise at 3 o'clock by reason of commitments I put in place when I thought today would be the day we were going short.

MR MOLYNEUX: I completely understand.

MR JUSTICE MacDONALD: Thank you.

F

MR MOLYNEUX: (To the witness) So, Mr Zahmoul, in relation to this Gmail account, there is a concern on Mrs Zahmoul's part ----

A. Do you mean the Coinbase account.

G

Q. Sorry, the Coinbase account. There is a concern that up until January -- January 15, she believed that there was, in accordance with your presentation historically, one account -- one Coinbase account, and so her focus was on obtaining statements in relation to that account. And then she discovers in the email on 15 January that there is a second account, a Gmail account, and she cannot reconcile the two accounts -- either the timeline of the production of balances and statements or any transactions that might link the two. And that has caused and continues to cause her concern. So can you just confirm, in relation to 3651, what account is this?

H

A

A. That is the original account I opened when I was in America at Singularity University. And as you can see from the balance -- of the format of the statement that was received only in January 15, 2024, to actually alleviate some of Mrs Zahmoul's concern. The balance of this account has been zero since July 31, 2017 when one Bitcoin was sent from that account to the 1LVSG account which is the account that you -- we went into excruciating details on my April 10, 2023 statement and Mr Pinto addressed.

B

Q. So the 3651 statement: you say ----

A. 3651 statement, yes.

C

Q. Page 3651: "For the avoidance of any doubt this, you say, is a statement for the Gmail -- for the second Coinbase account?"

A. For the first Coinbase account.

Q. Sorry, the first, yeah. Second in the sense that it is the one that has most recently been disclosed, but it is the original account. The original account that you had?

D

A. It was not... I mean, yeah, it was recently disclosed because it predates 2019, because it was a zero balance, and because the only account I thought I had with Coinbase was the account that I have disclosed and I have all along had. So, these are transactions that spanned between 2014 -- October 19, 2014, when I was at Singularity -- 'til 2017. And as I explained, Coinbase could not accept to have one individual that was KYC with two accounts, with two email addresses, with the same person. So they essentially forced me by '17. And again, I can ask -- you could craft an email, or Mrs Zahmoul can craft an email with the question that she wants, and it can be put to Ms Marsh, who is the general counsel of Coinbase, who can explain anything you'd like explained. Unfortunately, I cannot explain. You know, I was myself surprised of these accounts and the way that some of these were represented, and I only obtained them after the allegation by Mr Southgate on September 7. That is how this format and these accounts and my attempt at reaching out to Ms Marsh, which I only found out about the existence of Ms Marsh thanks to Mrs Zahmoul's prior solicitors writing to them to try to freeze my account when there was no court order in the UK to actually do so. But they ended up trying to do so anyway.

E

F

G

H

Q. So Nadia looked at that email on 3648 and sees a reference to an account?

A. 3648.

Q. 3648 -- your email on 11 of January to Ms Marsh. And you say three paragraph down ----

MR JUSTICE MacDONALD: Yes, let us just get to that. Do you have that?

A. Yeah.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: You say:

“Furthermore, while your email indicates my account associated with Coinbase is an Irish entity, your support team recently informed me that it is, in fact, with the French entity. For the sake of clarity, I initiated an account with Coinbase in 2014 using the email [gmail.com] which was based in the United States. That account has since been closed, and all funds were transferred to the account under Zahmoull.net.”

Nadia looks at this statement of 3651 and first of all sees that it was not closed at the time where you were representing it as having been closed, which I think is right, is it not?

A. No.

Q. Because you were write on 11th January 2024 -- and here we have got an account statement to 15 of January 2024. So it is still alive even if you are not using it?

A. No. I don't have access to it. I can't reach it. I can't actually log on to it. When I log on to my Coinbase account, I log on to the other account. But again I think this is best clarified by Coinbase rather than by me. It's a bit -- I mean it's a little bit like Mrs Zahmoul stating that the Bank of Jackson Hole joint account in the name of the LLC was open when it wasn't open -- and then we had this whole back and forth with the bank. It's similar. I have no idea how Gmail -- how Coinbase treats this account. The fact that it was still open, it was not accessible. And I apologise if I can't give you a clearer answer. That is the best and most honest answer I could give you. And we should ask Coinbase.

Q. Okay. Just a couple of other questions in relation to this. You will see that it refers on 3651. It says “deleted”.

A. 3651.

Q. 3651. So now back to the Gmail statement ----

A. Yes, yes.

Q. -- and you say this is a full list of transactions in relation to that Gmail account from the point it was opened to 15 of January 2024, as I understand your evidence.

A. As provided by Coinbase.

A

Q. As provided by Coinbase. But that is presumably the full list of transactions on that account, because it could only be provided by Coinbase?

A. Yes.

Q. And that is your evidence, yes?

A. Yes.

B

Q. And we see here it says "deleted". Do we know what "deleted" means in the context of this? It looks like a date, which is -- assuming it is a US annotation -- 26 December 2023?

A. Yeah.

C

Q. Do you have any idea what that means because again Mrs Zahmoul is confused by it. I mean, she does not understand what that means, and she thinks that there must be a meaning to it.

D

A. Okay. As I said, it is probably best to have Coinbase respond to this as opposed to me responding to it.

E

Q. Thank you. And then another concern that she has in relation to the presentation of these accounts is if you look at 3651, you will see "account summary" and it lists a series of wallets with a series of different types of cryptocurrency and there are one, two, three, four, five, six, seven, eight different types of cryptocurrency.

A. 3651 you are saying, right?

F

Q. 3651, yeah. What we see here is the Bitcoin statements in relation to this. Okay, and if we look at 2816, which is the statement for the Zahmoul.net account -- and here we have over 40 different types of cryptocurrency. And again, there is a difference in the presentation of the two accounts which Mrs Zahmoul is unable to understand. Are you able to explain it?

G

A. The best way to explain it is that a lot of this currency did not exist when this original account was alive and used; whereas all these currencies are very new. I mean we can go through each one of them and you can see when they were created and this account was non-existent in a sense that it was not active, to be used by me and nothing happened in it and therefore that is why you have so many less cryptocurrencies there.

H

Q. Thank you. Just pause for a second because I know that time is pressing and I want to try and cover as many things as I possibly can in the time available, but I just need to turn to Mrs Zahmoul for a second. (After a pause) So, just one further question: because Mrs Zahmoul does not accept that this is a complete run in relation to the Gmail

A

account, and she says that if it were a complete run, there would be transactions to the Pro account and transactions to GDAX -- is she right about that?

A. No.

Q. Why not?

B

A. I don't know. Because that's what the exhaust... I mean, as I said, I mean we have the email to Ms Marsh. I would welcome you to write the email or Mrs Zahmoul to write to Ms Marsh and ask her to provide the exhaustive list of what's missing. I have provided exactly... You read the email that I wrote to Ms Marsh. and you read the response that Ms Marsh provided, and I've had many back and forth conversations with the support and the international litigation team of Coinbase to have them provide me as much evidence as possible to every single question and queries that Mrs Zahmoul has had.

C

Q. And if there is another form of email that she wants to put ----

A. Yes, no problem.

D

Q. You would be content ----

A. 100%. 100%.

Q. -- for that to be done?

E

A. By you, by the court, by Nadia -- by whoever you'd like to send to ----

Q. Thank you. Just pause for a second because I am hoping to be able to move on but it may be that there is something which I have missed which will be my error and I just need to make sure that I ----

F

A. Sure.

Q. -- put the case properly. (After a pause) Okay. Are you able, and it may be your response is the same, which is ask Coinbase, in which case that will be your answer, but are you able to explain why, given that this was an account which you set up whilst in the United States, it says "GB". If we look at 3651, it is got the annotation "GB", so presumably a British account. Perhaps I am going off-piste when I say that, but ----

G

A. I suspect, just like the other one says "FR".

Q. FR, because that was ----

H

A. I just explained to you "FR". So, what happened is that when I opened the account, I probably used a US address initially, and then switched it to my UK address -- and that is why they put "GB", because it was Hare House and AWA(?). But I think honestly, these are ----

A

Q. I understand your fundamental response to this, which is: ask Coinbase if you have got any specific queries?

A. Yes.

Q. I am just tasked with asking some questions which, if you will indulge me by ----

B

A. Can I indulge also to answer an additional ----

Q. Of course?

C

A. So these statements are relatively new statements that have come. If you can see the form E, if you can see every update and disclosure since then, the statements were in a very different form because it is very cryptic to get the information from Coinbase and any of these exchanges actually. Binance, you could not get statements by more than a month at a time. You had a limited amount of requests you could make to get a statement. So I had to get VIP treatment even though I do not qualify as a VIP client to be able to get a full list of statements from Binance. And when I figured out what I could get from the from the General Counsel at Coinbase, that's when I reached out to the DPO and General Counsel of ----

D

Q. I understand. Thank you.

E

MR JUSTICE MacDONALD: Mr Molyneux, I am satisfied, as the person listening to the case, that you have sufficiently explored this.

MR MOLYNEUX: Yes, my Lord. Well ----

MR JUSTICE MacDONALD: And I also, as I know you are aware, Mr Molyneux, I have express case management powers to limit cross-examination.

F

MR MOLYNEUX: Of course, absolutely.

MR JUSTICE MacDONALD: And I am satisfied, as I say, that you have illuminated this issue for me.

G

MR MOLYNEUX: I am very grateful. Thank you very much.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: To move on from that, I should say, there was a letter which was attached. We cannot see the letter. You will be happy to provide that letter.

H

A. 100 per cent. I believe it is a letter from -- I think it is a letter from Ms Landells to Coinbase.

Q. Whoever it is from, whether it is from Ms Landells or somebody else ----

A. Okay. I will send you the full documentation.

Q. I am grateful. Thank you so much.

- A. No problem.
- A Q. So, we are going to move on. I have got two hours probably, and we have got a lot of things which I think we need to cover. So I am going to return to my material and then we can try and trot through some of those issues, if you would be so kind. I am going to try and do this at some pace, and that will mean, Mr Zahmoul, without any disrespect, it will mean, just as Mrs Zahmoul was asked, you really focusing your answers in relation to the questions that I am asking, so we can cover as much material as possible. Okay?
- B A. I will try.
- C Q. I want to ask you some questions in relation to Multibit. Look at 2240.
- A. Sorry. 2-2?
- MR JUSTICE MacDONALD: Four zero?
- A. 2240. Yes, that is my statement. That is Gemini. 2240.
- MR MOLYNEUX: 2240. So, this is a transcript?
- D A. Yes.
- Q. So 2240, there are some questions which you are asked of by Mr Pinto. It is a discussion with Mr Pinto, and you say at the top there,
- E “Multibit, you know, this is, as you said, a very old wallet. I don’t recall exactly whether it was mine or my wallet or not, and that’s what I have explained.”
- And I think that the Multibit wallet was 1LVSGYV wallet.
- A. Correct.
- F Q. That is the one, is it not?
- A. Mmh.
- Q. And that was the wallet that you had used to send Bitcoin to the Gemini account, which was the account in your name, but you say your sister's.
- G A. I do not remember. No, I believe that the... If I recall my statement correctly, and I could be wrong, but if you go to my statement, the Bitcoin I would send to the one wallet, that one wallet to Gemini Wallet were actually emptied out. And I believe the Bitcoin that filled the Gemini Wallet came from a Coinbase, I think. But I don’t recall exactly, and we have to go to the paragraph of Gemini.
- H Q. It may well be that that crops up in a little while. But the gist of the questions I am going to be asking you is that in relation to this Multibit Wallet and the transactions that

A

flowed from it, that you subsequently mis-recalled or could not remember. That was you not wishing to disclose the location of Bitcoin that was still in your control, was it not?

B

- A. Not at all. Multibit Wallet was empty in 2017, as I have shown multiple times. So I don't know. If you are asking me to tell you where things were in 2017 when my order from the court was 2019 and everything that I had as wallet, this wallet was zeroed out, it had nothing in it. I didn't even think about disclosing anything to do with this wallet in 2021. I'm confused. I'm generally confused by the question. It's like saying Nadia had a Citibank account when she was in New York and she had money there and she hasn't disclosed what was in that money there; therefore she is -- it is failure of her Form E. I'm sorry, I don't ----

C

MR JUSTICE MacDONALD: Just wait for the next question.

- A. Sure, sorry.

D

MR MOLYNEUX: Look at 3863, please?

- A. 3863.

- Q. 3863. This is one of the earlier reports, the earlier iteration, September 2022. The earlier iteration of the report by Mr Pinto?

E

- A. Yes.

- Q. He raises the issue of transfers to Xapo. He says: "The above table shows the counterparty." This is in relation to the Multibit Wallet, the L1LVSGYV.

F

"The above table shows the counterparty ... the addresses that 1LVSG has directly interacted with."

- A. Yes.

G

- Q. Then it explains the transaction. You subsequently to do this in your April 2023 statement. Seven Bitcoins from Afpull.com(?), a mining company. 7.969 was sent to Xapo.com, a hosted wallet service. "This acts similar to an exchange, and should Mr Zahmoul control 1LVSG, he may have an account at Xapo.com."?

- A. Mmh.

H

- Q. And then 4.5 per cent was received, and 2 sent to Gemini, an exchange service. The combination of this in September 2022, which is Mr Pinto in his preliminary report raising the possibility of your Multibit wallet having transferred Bitcoin to Xapo, and questions which Nadia had independently raised with the assistance of CipherBlade

- A should have put you on notice that you had transferred Bitcoins to Xapo, should it not, because they are saying this in terms.
- A. I never denied that I transferred Bitcoin to Xapo.
- Q. But you never admitted it, did you, until ----
- A. No, because I had zero ----
- B Q. Just listen. You never admitted it until April 2023, did you?
- A. Not at all. I never denied it. I just -- I just had thought that the Xapo account was emptied out. This this report as you mentioned, Mr Molyneux, had in the Indodax, had account, as I wrote in my statement of April 23 -- had eight accounts that I had not ever had any association with. So it was hard to understand the validity of this account, of this Poloniex. I'm just going through, right? Indodax: So they had all these accounts that they attributed to me that had nothing to do with me, that I had never, ever had. So, I was incredulous of Mr CipherBlade from the get-go.
- C Q. You were made aware by Mr Pinto of the possibility that you, in September 2020, you were made aware of this possibility that you had an active account with Bitcoins in with Xapo, did you not? That is correct.
- D A. No.
- E Q. Well, that is what we just looked at. He said that.
- A. No, he said that. What he says is there is... What he has is he has information that money went from my 1LV account to a Xapo account. Right. That's all he sees.
- F Q. Yes?
- A. He doesn't have anything -- other information, which I do not deny that, but as I said, I believe I had zeroed that in my Xapo account. So, I believe that I had no money in the Xapo account, just like I had no money in my Uphold account. He says here I had money in my uphold account. I had no money in my uphold account.
- G Q. Look at 2011, because these are questions which were raised.
- A. 2011.
- Q. 2011 -- these are questions which were raised by Nadia of Mr Pinto with the assistance of CipherBlade.
- H A. Yeah. I vaguely remember this.
- Q. And then halfway down, in blue, you see it starts "On page 71 of your report..."
- A. 71, yeah.
- Q. Halfway down:

A "On page 71 of your report, you list the counterparties of Mr Zahmoul's Multibit wallet. Can you explain why you failed to identify that..."

-- and then it says --

B "3JZ, which is part of the root cluster, 39Y9, is in fact an additional Xapo deposit address. This would mean that 10.9694 Bitcoins were sent to Xapo, not the 7.9694 bitcoins that you identify in your report. What became of the 10.9694 Bitcoin that was sent to Xapo from the Multibit Wallet? Where are those funds now? If you leave additional disclosure as needed in order to determine if there is any reason you should not ask for additional disclosure."

C Nadia, through CipherBlade, and Mr Pinto, in September, in the summer of 2022, were all raising the possibility that you had an active account with Bitcoins in with Xapo. And yet you turned a blind eye to this, did you not you? You did you not do anything about it until the spring of 2023.

D A. I did you not turn a blind eye.

Q. Well, what did you do when you were made aware of this in the late summer of 2022?

A. I genuinely believe that I had zeroed out the account, just like I had with Bitfall(?).

E Nadia also alleged in this, that I had account with Changelly, that I had an account with. Many -- I think it was 11 accounts that she alleged that I had accounts with. She brought in conversation that she stole with Mr Jenkins, my old boss, which had accounts with Changelly. He had accounts with Binance. He had other accounts that I basically educated him and helped him move money for payments that he needed to make, and she attributed those to me, and I thought this was the same. So, I wasn't -- I was pretty clear in my mind that I had no further Xapo account. Xapo had closed down, you know, and I wasn't aware that I had this account. And when ----

F Q. So, you could not remember ----

G A. -- I decided in -- and when I decided in, I guess, between October and April 2023 to go to do the painstakingly work -- because it is not easy to actually go back to every single transaction that I have ever touched in crypto -- when I decided to do that is when I discovered, as I wrote in my statement, in my affidavit of April 10, 2023, everything I wrote.

H Q. So you had just forgotten that you had 16 Bitcoin of \$500 ----

A. Yes.

Q. -- in a Xapo account ----

- A. Yes.
- A. -- which you had opened then?
- A. Yes, that is correct, I'd forgotten.
- Q. You had just forgotten?
- A. Yes.
- Q. I presume on that basis, there could be any number of other Bitcoin which you have got in any number of other different accounts because you would not be able to remember those either?
- A. Yes, you could say that.
- Q. And then on 14 March 2023, if you look at 2283 ----
- A. 2283? 2283?
- Q. 2283 -- you discover that ----
- A. Yes.
- Q. -- you have got 16.16 Bitcoin balance and \$500?
- A. Yes. And this was a sequester account by Xapo, because they had changed jurisdiction, they had changed status.
- Q. And you admit to that in your statement, I think 10 March, which you will find at page 2136. And you said at the bottom of that -- 2136.
- “Xapo confirms I had an account under Karim@zahmoul.net and Zahmoulka@gmail.com. I discovered with my email at gmail.com I had an account which was sequestered. I said I had a Bitcoin balance, but I believed it had been zeroed out. It received 16 Bitcoins on 7 November 2017, about 320,000 at the current value of 27,000 Bitcoin.”
- It would still be worth about 640,000 sterling now if you had not disposed of it, would it not?
- A. But you ----
- Q. You had spent it, did you not you, before you told -- you spent those bitcoins before you told Nadia of their existence, did you not?
- A. We repaid the mortgage, the joint mortgage on the Bank of Jackson Hole. And I paid for my daughter's school. And I paid for some... Some of the money was used for -- \$20,000 of the money was used to pay Mr Moldinia(?) for defending myself in the litigation in Wyoming to quash a motion for ----

IN PRIVATE

A

Q. A very small amount went towards extras on the school bill at Chatham Ladies College.
A very small amount?

A. Small?

Q. Yes?

A. No.

B

Q. Most of it went to pay down the mortgage, did it not?

A. Correct.

Q. In circumstances in which you knew that once paid down, you would not be able to access those funds. Correct?

C

A. No, in circumstances where I knew that we had spent over £3 million because we could not communicate and because it was not ----

Q. That is an answer to a different question.

A. Well ----

D

Q. That is an answer to a different question. You knew -- please focus on my question -- you knew that once you used those funds to pay down the mortgage you would not be able to access that source of liquidity, did you not?

A. So ----

E

Q. That is a "yes" or "no" answer.

A. My rationale was not because I could not access the fund of liquidity. My rationale was to repay the mortgage that I had entered into that was for \$572 million. That was the most amount of money I had ever borrowed in my life. And I didn't know how I was going to be able to repay, given how this litigation would go.

F

Q. Mr Zahmoul, you had paid down \$3 million by then.

A. I paid down \$3.95 million by then ----

Q. Yes?

G

A. -- and then I paid back another \$400,000 as soon as I discovered that money.

Q. Focus on my question. When you paid that \$400,000 off the mortgage, you knew that you would not be able to access that liquidity again because you knew the Bank of Jackson Hole would not let you withdraw it. You had been in litigation with them about it.

H

A. Well, Nadia has been arguing since then, and after that to September this year, that she believes the Bank of Jackson Hole will return the money.

Q. You will not answer the question. We will move on. Look at 1339, please?

- A. I am answering the question. I am not giving you the answer you want.
- A. 1339.
- A. 1-3 ----
- Q. His Lordship will decided whether you have answered. 1339.
- A. Yes. Which paragraph?
- Q. Paragraph 7
- A. 1339. My apologies. Yes.
- Q. You are referring to the *Imerman* ----
- A. One second.
- Q. -- the *Imerman* exercise?
- A. Oh yeah. Okay.
- Q. *Imerman* correspondence finally sent by lawyers following the first point on the 7 April 2021. You say:
- “The outcome of this very costly and intrusive exercise was simply to underline that I had disclosed everything.”
- Can we agree, Mr Zahmoul, that you had not disclosed at the point that the *Imerman* documents went across, the Coinbase equity, the account which you had with Gemini in your name, which you subsequently were to say was your sister's, and the existence of 16 Bitcoins, today worth the best part of \$850,000, 400,000 sterling when you disposed of them. You had not disclosed any of that, had you?
- A. So, as I said, I didn't know I had the Xapo address so I couldn't have discussed something I didn't know I had. The Gemini account I had gifted to my sister in front of my father in 2018 and my word is my bond with my family and my sister, and Nadia and I did not -- it was not my account. And the Coinbase, I was trying to have Nadia to engage with me, and I apologise that I didn't do it before, but I was -- as I said, and you are preventing me from showing evidence without waiving privilege, but I have... You said yesterday that you don't believe I even -- that my solicitors thought that it was a quantum issue as opposed to ----
- Q. Mr Zahmoul, you have said that before, okay, and you are not ----
- A. Maybe but ----
- Q. So we will move on. Look at 1895, please.
- A. Sorry.

A

Q. Look at 1895.

A. 1895?

MR JUSTICE MacDONALD: 1985.

MR MOLYNEUX: It just says "Costs." If you look at 1895, you will see ----

B

MR JUSTICE MacDONALD: Just let us get to it the page?

A. 1895. This is produced by Nadia, right. Okay?

Q. Yes. It is basically a breakdown of how costs developed over the course of the litigation. And you will see if you look at costs up until the FDR, 19 July, that your costs were £159,000 in total, and Nadia's costs were £126,000 in total?

C

A. The disclosed costs, you mean.

Q. If you scroll across and you then go to the pre-trial review on 4 March 2022, you will see that your costs had increased to 247,000 and that her costs at that point, according to the Forms H, were 393,450?

D

A. When was this?

Q. So that was a very significant uplift in costs after the FDR. This was due, was it not, to your failure to make proper disclosure in relation to the Topanga and Coinbase equity. You were the author of this misfortune, were you not?

E

A. I don't think so. You are missing Nick Warr; you are missing many other expenses here that she has expended. Bill Hewlett, Nick Warr, and many other third party costs that are not included here that are misrepresenting the numbers.

F

Q. I want to ask you some questions about Olivia Molina.

A. Say again.

Q. I want to ask you some questions about Olivia Molina. One of the issues in this case is Nadia's concern that tainted money will come back to bite the two of you in the future and that she should be insulated from that. Nadia believes she was -- Olivia Molina was a prostitute, is a prostitute.

G

A. (Indiscernible)

Q. Well I am just asking this. Just tell his Lordship, was she a prostitute?

A. No. She has ----

H

Q. She worked in the sex industry. She ran prostitutes?

A. That's not true.

Q. Escorts.

A. Not true.

A

Q. What did she do?

A. She was an influencer on Instagram. She had over 120,000 followers and she was a party organiser and she was introducing people for events and for promoting brands, promoting restaurants, promoting clubs. That is not true. And this was actually addressed on many communications between Withers and ----

B

Q. She arranged women for Phil Jenkins, did she not?

A. She what?

Q. She arranged women for Phil Jenkins, amongst other people.

A. No, she did not.

C

Q. Prostitutes for Phil Jenkins?

A. That's not true.

MS CAMPBELL: My Lord, I do not know which element of the conduct claim this goes to.

D

It has not been specified in the statement of the conduct pleading. So, perhaps, Mr Molyneux will illuminate.

MR MOLYNEUX: I think I have told you, my Lord. This goes to my client's request for an indemnity in relation to money which is tainted money in circumstances in which the only -- just indulge me -- the only explanation for the significant amounts of money going through this woman's hands, with the assistance of this gentleman, can be her illicit activities in the sex industry.

E

MR JUSTICE MacDONALD: Mr Molyneux, I am not going to make the finding that someone is a prostitute if I have not heard from them.

F

MR MOLYNEUX: And it is also set out, just for the avoidance of doubt, because I do not want anyone to think this is taking anyone by surprise, it is page 1855 at paragraph 162.

MR JUSTICE MacDONALD: I understand. Thank you.

G

MR MOLYNEUX: (To the witness) We see you providing a lot of financial assistance, do we not, with Ms Molina's activities, if we look at 1440.

A. Financial assistance I have never provided to Ms Molina, so ----

Q. So let us just look at 1440, please.

A. 1440?

H

Q. Yes. This is a breakdown of some of the *Imerman* material.

A. It is third party, in terms.

Q. Transfer tabs. You will see there item 25, spreadsheet transaction list for TransferWise to an account in Olivia Molina's sole name.

A. Mmh.

Q. 27: a TransferWise statement from Ms Molina's account dated 25 March 2018, showing a nil balance, no transactions; further spreadsheets at 28 from Ms Molina's account which were enclosed "redacted, save for the transactions highlighted by your client, including repayments from our client to Ms Molina"; 29, an invoice from Blue Ocean Services, FZE, Ms Molina's Dubai company, for consulting services, prior to a third party dated December 2018. "Our client helped M Molina set up this company and had no interest in it."; a notification from OCE AZ LLC, registered in January 2020 -- "a US company our client helped Ms Molina set up that she wished to obtain an investor visa for the US. Our client has no interest in this company."; screenshot of her TransferWise account at 31; management accounts for Blue Ocean Services FZE LLE; "A text message with an access code for our client's BCP Millennium account, disclosed with his Form E." Bank statements for her BCP Millennium account; an agreement between Ms Molina and a business broker, by which she purchased the juice bar business. "Again our client has no interest in this business", and then spreadsheets relating to our client and Ms Molina's finances. Enclosed with them seem to be "duplicate pages which our client helped Ms Molina to prepare as she was not familiar with Excel." You provided her a lot of assistance, did you not you?

A. I was in love with her and I helped her, I guess, to get her on her feet. She came from Argentina. She had no money to her name. She had some good ideas, and she was very active on Instagram, and I helped her. It was a weakness of the heart, and I helped her. And actually, the person who helped me get over *her* was actually none other than Nadia, who helped me for a long time, introduced me to doctors in America, had me go get some antipsychotics. So, I mean, she was aware of a lot of the stuff that she's using now to try to prove, you know, to try to character assassinate, which is, you know, so sad.

Q. Look at page 16. I do not know what page it is of the bundle, but I have got it as a separate document. Page 16 of the final report of Mr Pinto, Another Day.

A. Yeah.

MR JUSTICE MacDONALD: Is there a separate copy of the report in the witness box?

MR MOLYNEUX: I do not know, my Lord.

MS CAMPBELL: There should be a hard copy, my Lord?

A. I think there is two, Section 25.

MS CAMPBELL: There is one there.

MR JUSTICE MacDONALD: Mr Zahmoul, will need a copy?

A. Thank you.

MR JUSTICE MacDONALD: Page 16?

MR MOLYNEUX: My Lord, yes. (To the witness) These are transactions with Ms Molina.

Then it says, "Upon additional analysis" at the bottom page 16,

"... it appears that 1GQYJ is an address that has been generated as part of the cluster of root address 1AWK. This root address appears to have made 57 transfers, 31 withdrawals, and 26 deposits.

Additionally, 39.73 bitcoins have been traced through this wallet, but root to 768,490."

And your case is that, that this lady, who is not familiar with Excel, who is an influencer, has 768,000 of her own money passing through her Bitcoin account?

A. I don't know.

Q. Is that your case, or is this your money?

A. It's not my money. But she could come and testify and show you whether it is her money or not if that helps.

Q. Look at page 25, please?

A. That is ----

Q. This is a typo, because the second paragraph should read not 1GQYJ, as Mr Pinto confirmed; it should be 3DAJTD. It says:

"Upon further analysis, it appears that 3DAJTD, an address which should be generated by the cluster of root addresses, 3N69, this address appears to have made 20 transfers, 8 withdrawals and 12 deposits. 80 Bitcoin have been transferred through this wallet..."

-- equivalent at the time the transactions took place to \$786,901. Okay, so you need to keep in mind that address which is 3DAJTD. Look at page ----

A. 29?

Q. 73 please.

A. Oh sorry. 73? Yes.

Q. This is an email from Olivia Molina dated October 20, 2022?

A. Yes.

Q. "To whom it may concern..."

A. Yes.

A Q. Scroll down to the bottom of that page. "I also want to confirm that the following wallets..." a segment which is 3DAJT, the one that we have just looked at,

"... where Mr Zahmoul sent me 0.013 Bitcoin on October 20, 2019, my wallet and mine alone."

B Now, it subsequently transpired that you disagreed with her because you obtained a letter -- an email from Fadi Kassis at Forte. We see that at page 29, in which he confirms that 3DAJTD is his. So, it might strike his Lordship as odd that in support of your case, she claimed ownership of a crypto wallet that had literally nothing to do with her?

C A. Yeah.

Q. Okay, can you explain the circumstances in which she made that claim?

A. Yes, I can.

D Q. So, I was in New York with Olivia on the date of the \$100 payment in October 25, 2019. And the way I went about trying to forensically find each one of these wallets -- this is akin, Mr Molyneux, if I asked you, who you gave \$100 to in October 2019 -- \$100. So I could not find it. So the way I proceeded to find each one of these wallets is I go on my search bar on my phone, on my email, and I put the wallet address. And I look for when this happens. Usually there is a confirmation. Usually, if I can't find it there, I go on WhatsApp. And I look for this sequence of character, and I basically look for what it is. And I couldn't find it. I could not find 3DAJ. It was a *de minimis* amount. I couldn't find who I gave it to. There was no note on my entry when I sent the money. So I was despairing, and I thought because I was with Olivia in New York, it must have -- you know, usually when I was exchanging money with her, there was WhatsApp back and forth to make sure that she received the money. She sent me her address. I basically sent her a small amount. And then basically I sent her the balance, and constantly, there's a WhatsApp exchange on both sides to do confirmation of these transfers. In this case, I couldn't find anything like that. But because I was with her in New York when I retraced, I have a spreadsheet where I keep every single day of where I have been since 2018, since I left the UK. And from there, I realised that I was with her in New York. So I figured I must have been with her. And I must have sent her \$100, and then the day later, she sends me, you know 80, 85 -- 5 and 5 Bitcoins, which adds up to €85,000 which I pay her from my UBS account. And so that is why I thought it was her.

Then when Mr Pinto did his latest analysis, because he wasn't unfortunately allowed to do it before, even though we had asked and we had been waiting a year and a half for him to actually continue his report, it turns out that he came up with exactly what you articulated now to Mr Justice MacDonald. He came up with like a history of that account that looked unusual for something that Olivia would do. So, I ended up trying to do further forensic and looking at my account and trying to figure out what is this \$100 and racking my brain as to what it was. And then in searching, I don't know why I didn't catch it before, I believe it was in my Emviry account. That is how I was dealing with Mr Fadi Kassis. And in my Emviry account, there was an email between me and him on exactly that date, with exactly that address, with me sending; him saying "I received" -- and this was an attempt because in 2019, when crypto was starting to go up, I was looking for alternative sources of liquidity. And I had just met Fadi Kassis because he became my umbrella for my FCA position. So, when I set up Emviry Limited, I was not regulated by the UK, by the FCA. And I had to go through a whole process to get regulated, but we wanted Marsha, my partner, to start soliciting business in the UK. In order to do so, we had Mr Kassis, who had Forte Securities in the UK, could provide an umbrella service to basically allow us to practise our activities under the umbrella of the FCA. So, we did that temporarily, became friendly. And this is kind of when I asked, because he was doing crypto in Australia, this is when he basically suggested I send him some tokens to see that the pipe was working between me and his entity. And this is how the genesis of this happened. So, the letter was written because I was despairing of finding out, and I thought it was her, generally. So I had her... I mean, she does not know which account is her. I mean, she doesn't -- she knows her large account, but there was many transactions between me and her, and so this one being \$100, I thought it was -- I genuinely believed it was her, and that is why I attribute it to her.

Q. Mr Zahmoul, it is a preposterous account, is it not

A. Preposterous account.

Q. The easiest way to find out whether that was her address would be to say: "Is this wallet, your wallet?" -- and then she would tell you "yes" or "no" in the same way, to borrow from your parallel, if you had transferred money to me and you could see the account that it had gone into, you would say to me, "Is this NatWest account, sort code [blank], account number [XYZ] your account?" And I would say "Yes it is", or "no it's

not.” What I would not do is say: “Yes it is”, if it was not, or I had no idea. So, why Mr Zahmoul, did she do that?

- A. Because, as you can see, Nadia and Mr Pinto and indeed CipherBlade have -- have alleged that I have Poloniex account that were actually Coinbase accounts. Because every time you can receive -- unlike a bank account where you sort it all in your account ----

MR JUSTICE MacDONALD: Just stop a moment. The question is much more straightforward than that. Why did she say it was her account if it was not?

- A. Because you can have a gazillion accounts out of one account. Every time you receive - - you can create a new account into your -- into your -- which is what Mr Pinto was trying to say with the cluster yesterday. In Coinbase, I have maybe 200 Coinbase -- 200 Bitcoin accounts. So, every time you receive a coin, you can create a new -- you can generate a new address that is associated with you, with Coinbase, and that is completely different than all the addresses you used before, which is why Nadia thought that the Poloniex -- she kept in her last -- in her conduct statement she kept saying: this is a Poloniex address, and I have an email for Coinbase support stating this is a Coinbase address of Mr Zahmoul -- not a Poloniex address; never was a Poloniex address, but when you run it through Chain Analysis Reactor, they make mistakes, they have a heuristic, and they make mistakes in the way they account for whose account it is. So, it was a genuine belief of mine that it was hers. I asked her to write it was hers. She didn't go check whether it was her or not hers ----

Q. That is it.

A. -- and she would ----

Q. That is it. You asked her ----

A. Yes.

Q. -- to say that that was her account ----

A. Because that's what I believed.

Q. Just listen. You asked her asked her to say that that was her account and she, having no idea at all, was prepared to produce a document for you to rely on in these proceedings ----

A. Right.

Q. - which said that it was not -- and that, Mr Zahmoul, is dishonest, is it not?

A. I don't think so. It was not dishonest when I did it.

- A Q. You do not think it was dishonest when you did it.
- A. Because I genuinely believed it was her account.
- Q. And she just signed -- yes?
- A. Yeah, because it was \$100; it was *de minimis*; it was not ----
- B Q. It was an account with \$768,000 passing through it?
- A. I did not know that and she did not know that.
- Q. How could she not know that?
- A. What do you mean? Because she can't tell from the account what it is. This is the forensic of Mr Pinto that -- actually the account did not have \$700,000, Mr Molyneux
- C The account had \$700,000 go through ----
- Q. That is what I just said. ?
- A. -- into the life of the account, which does not mean it ever had \$700,000. You just said ----
- D Q. \$768,000 going through it, passing through it.
- A. Over how long? Over a period of five years, one year, two months, two weeks, one day?
- Q. And in fact, it belongs to, you say, Fadi Kassis. Now, has he just signed this at your request, or is this ----
- E A. Well, I ----
- Q. Please listen to the question, otherwise you will not have any clue what I am asking you. Has he signed the email, or produced this email at your request, or is this actually his?
- A. It is actually his.
- F Q. And we will just look at what he said, shall we?
- A. But... Sorry, go on.
- Q. If you want to qualify that, tell his Lordship?
- A. No, no. The better proof that it is his email that it's his address is from the email from
- G 2019. This is really true evidence that it is his account, not the email that he wrote now. It is the fact that he, in 2019, when we were about to do the transaction, he sends me a wallet address; I send him the money; he tells me, "Yes, I just received that amount of money."
- H Q. Well, Mr Zahmoul, that is no clue as to who the beneficial owner is. That just means that is the person you are transacting with, does not it?
- A. What?
- Q. You understand just what I said.

IN PRIVATE

A

A. No, I don't understand what you said -- the innuendo of what you are saying.

Q. That is no clue as to who the beneficial owner is. All it illustrates ----

A. Then I would ----

Q. Will you please listen?

B

A. Then I would invite ----

Q. Please listen?

A. I would invite you to ask him.

C

Q. Please listen. All it illustrates is that you transacted with him and that he is now saying that he is the beneficial owner. Okay -- in the same way that a few months ago, Ms Molina was saying she was the beneficial owner. But there is no proof for either of them, is there?

A. Yes.

D

Q. So let us look at 29.

A. 29?

Q. Page 29. This is a letter from Forte Securities?

A. Yes.

E

Q. Forte Securities Limited presumably is regulated?

A. By the FCA, yes.

F

Q. Okay. "This is to confirm that the following wallet address belongs to us" on Forte Securities headed notepaper. Now, for the avoidance of any doubt, think very careful about how you answer this question: are you telling his Lordship that that account through which you transacted, as we see your account on the same page, on the left-hand side of that page, that that was an official Forte Securities cryptocurrency account?

A. I don't know.

G

Q. But why is he saying that it is? Because he says, "Karim, this is to confirm the following wallet address belongs to us" on Forte -- Just listen. "This is to confirm the following wallet address belongs to us" on Forte Securities headed notepaper. Were you transferring money to Forte Securities?

H

A. I was transferring money to... I am not actually sure if it was Forte Securities. I was transferring money to Fadi to see if the pipe of transferring money so I could convert my crypto into fiat with an alternative exchange at a better level than I would with Coinbase or Binance or other exchanges that were out there.

Q. So the pool of perpetrators ----

A

A. But I would invite the court and yourself to ask the FCA through Fadi, or Fadi directly, to phrase it any way you would like. I mean I cannot speak for whether he holds this wallet at Binance, this wallet at some other exchange -- this part in his name, this name in the name of Forte -- I cannot answer that question.

B

Q. Mr Zahmoul, this is not like Alice in Wonderland, where words can just ----

A. It's not ----

Q. Just listen -- where words mean just what you want them to mean, nothing more, nothing less. We have to be precise, okay? So I want you to tell me ----

C

A. I am being precise.

Q. Please listen. I want you to tell me within the possible pool of perpetrators, we have got Olivia Molina saying it is hers, and now saying it is not; we have got Fadi Kassis saying that it belongs to Forte Securities, but you are not sure whether it does. We have got an email from Fadi Kassis in October transacting with you personally. I just want to know what your evidence as to the beneficial owner of this wallet that had \$768,000 passing through it because that is a big amount of money.

D

A. To the best of my knowledge, this is a wallet owned and controlled by Forte Securities.

E

When I transacted with them as a test, it was to do a transaction with an institution against hard currency. So had I done the one Bitcoin that was talked about in the email or more, I would have expected that the proceeds -- the hard currency proceeds or the fiat proceeds of the money would have come from an institution -- not from Mr Kassis personally, or somewhere else. That is who I was entering into an agreement with. And I believe... I do not recall if there was actually some documentation signs, but it signed between us.

F

Q. Why do you not help me with this then? On that same page, the subject for each of these emails is "listing process Australia"?

G

A. Mmh.

Q. And we start at the bottom and we work our way up. And it starts on 11 October, you say,

H

"Hi Fadi, can we start with one Bitcoin? Let me know where to send it. I am not sure I'm ready to sell yet. That is why I have not been responding, Karim."

He replied, "That's cool, man. No worries, I figured as much." And then he gives you the wallet address and then says, "Once in hand here and you want to sell, let me know."

A

And then you said, "Fadi, I just sent you a \$100 to that address to make sure it works. Let me know when you receive" -- and you reply, "Nice one", again, all under the heading, "Listing process Australia." First of all, what was the listing process in Australia that the two of you were obviously communicating over? And, secondly, what was it that you were not ready to sell on 11 October 2019, because it certainly was not a Bitcoin; he did not have it.

B

A. Say that again. He didn't have it?

MR JUSTICE MacDONALD: Let us just break that down.

C

MR MOLYNEUX: What was the listing process? What was the listing process?

A. I can send you the email that had the listing document. I don't remember. I do not remember. I do not remember what happened in a conversation in 2019 with Mr Kassis.

Q. So you have no idea ----

D

A. No, I have no idea.

Q. Just listen. Make sure I understand your evidence and his Lordship has got a note of it. You have no idea what this email with reference "listing process Australia" was talking about. No idea.

E

A. No, but I can find out.

Q. Well, that ship has sailed, has it not? You have given your evidence. This is not a dress rehearsal. Just tell his Lordship. Do you have any idea?

A. I don't recall, no.

F

Q. Okay, so what is it in that first email that you are not yet ready to sell?

A. Bitcoin.

G

Q. That cannot be right, can it? That is an absurd answer, if I may respectfully put to you. Because if you look at the text here, it says, "Can we start with one Bitcoin? Let me know where to send it. I am not sure I am ready to sell yet. That's why I have not been responding." Now, given that you are the one with the Bitcoin and you could sell it yourself, you do not need to transfer a Bitcoin to him. He hasn't got it yet. You do not need to transfer a Bitcoin to him in order to sell it. So what were you not ready to sell?

H

A. I do not think you understand what I said before or -- I'm not sure what just ----

Q. Why do you not have another go and explain to his Lordship ----

A. Okay. So ----

Q. It might just be me.

A. What I've tried to explain is that I had Coinbase exchange where I could sell crypto. I had Binance, where I could sell crypto. And then I was looking -- there was other companies I was talking to, to try basically to fund liquidity, to the extent you needed to get liquidity without being charged a quarter points or significant charges. And depending on the time -- at that period of time, depending on the business of the network, it would cost more or less money to send -- to sell Bitcoin. So what I was talking with Fadi was for him to provide me liquidity on Bitcoin, just Bitcoin. So the conversation here... So we were having a different conversation on listing, and I forgot what it was listing about. It was listing over... I think it was Cornish Lithium maybe, or it was some other company's ----

Q. Sorry?

A. -- listing. I think it was Cornish Lithium. It was listing -- a property, listing a company on a South African stock exchange because ----

Q. Are you speculating, or is this your evidence?

A. I am trying to recall on the spot, what you -- because I don't -- I didn't go into the details of what this "listing, Australia" means. You asked me three questions in one question. And when you discuss -- These are free-flowing conversations with a person who was discussing many ideas, brainstorming on many things. So, one of the conversations that we had was about selling -- was about having him provide me liquidity for my cryptocurrency, for my Bitcoin really, when and if I decided to sell. So on October 11, right, he had sent an email. You know, can we start -- should we start with one Bitcoin so that you see that I can give you a good price? I'm not going to charge you so much fees, and then I will send you the fiat versus you selling Bitcoin. I wasn't ready to sell in 2019 -- in early 2019. Then the conversation goes on. He sends me on October 11. Nothing happens because I was with Olivia in New York, as I said.

Q. Mr Zahmoul, just pause there?

A. I'm trying ----

MR JUSTICE MacDONALD: Just let me hear the answer.

A. On 25 October, when I recover his email, or when I look at his email and focus on it, I said, "I've just sent you \$100 at the address to make sure it works. Let me know when you receive it." And then he responds right away on October 25, so 25th to 25th, a few hours later, he says, "I have received. 0.13076 received. Nice one, Fadi Kassis."

MR MOLYNEUX: So why did you not send him anymore?

A

A. Because I -- why didn't I send him anymore? Because let's -- let's -- this is -- this is -- what hasn't been done in all of your questioning, is that you don't put it in the context of the timeline of what happens. So, this was October 25. October -- when was this? October 25. Okay. So, I left New York on October 27. I went to Morocco. I met Nadia there at La Mamounia, I think. Then basically, Olivia and I had a massive breakup.

B

Then I went into a significant depression. Then I went -- then I was in -- I came back to -- I travelled a little bit, went to Portugal. This is 2020 now we go. This is when I was told in Portugal the first question that you asked me yesterday about my residence, etcetera. Then I went to -- then it was in -- in February 2020, we were in Morocco with

C

Nadia. That is when she said she discovered the relationship and the affair. Then in March 14, 2020, I was in lockdown and then Covid happened and I was stuck in Cheltenham for 90 days. Then July 6, I was -- I moved, you know -- and then all this time, crypto was acting -- was doing pretty well, so there was no reason to sell. And then this option to sell with him just evaporated. I didn't think of selling and I didn't.

D

Q. Mr Zahmoul, I will be suggesting to his Lordship, this is an absurd explanation.

A. Okay, okay.

Q. Look at the Coinbase transactions.

E

A. Which ones?

Q. You will find those at page 7.

A. Where?

MR JUSTICE MacDONALD: In the expert's report. Page 7?

F

A. Okay. Page 7.

MR MOLYNEUX: You transfer to him a hundred dollars.

A. Yes.

Q. Transaction ten.

G

A. Yes.

Q. 0.01310 Bitcoin?

A. Yes.

Q. You never transact with that wallet again.

H

A. Exactly.

Q. You carry on transacting even as we look two days later, receiving 5 Bitcoins from someone else.

A. From Olivia.

A

Q. Receiving 5 Bitcoins from someone else again ----

A. Olivia as well.

B

Q. -- on 27 October, and then sending, on 3 January, 0.014. And then we carry on receiving and sending through the following months of 2020. This idea that you have created this transaction for the small number of Bitcoins that you have got to create liquidity, when you could have just traded through Coinbase ----

MR JUSTICE MacDONALD: No, that was not the evidence. It was to explore the possibility of creating liquidity, not just to create liquidity.

C

MR MOLYNEUX: To explore the possibility of creating liquidity. That was the solution to a problem that did not exist?

A. Why?

D

Q. Because you had sufficient liquidity via trading through Coinbase in just the same way that you had done this whole time. And the evidence of that is that this is the only transaction, having successfully achieved it, it is the only transaction with Fadi Kassis?

A. What is the true explanation for this transaction?

A. This is the true explanation.

E

Q. Is it something to do with testing out a wallet that you say that he had established in the autumn of 2019 in advance of transactions referable to this mysterious listing that was to take place, so that he could send assets held by him for you in order to avoid any glare of publicity.

A. So he's an FCA ----

F

Q. I am asking.

A. I am trying to respond. I would welcome you, Nadia, and the court to send him an email, or to send him a letter to ask him to answer exactly what he has done with me, and what he has done with crypto generally. He basically has decided to build a niche in crypto, and so he does a lot of crypto transactions. And the most simple explanation of this is that he does a lot of transactions, and this is just one he did with me to show me that he could provide liquidity for me to the extent I wanted it, but he does a lot of other things. None of the transactions that you see... If you look at Mr Pinto's report, he explained that transactions are in all kinds of places. These are not things that I have ever done, would ever do. He goes into Peel Chain and into all kinds of other things that he talks about that I have never, ever done. And this is how I realised that it was -- I wasn't in that period (inaudible). And this is how I was able to ascertain that it was not

G

H

A Olivia, because of this recent report from Mr Pinto who suggested that all this follow-on
transaction from that account was so unusual for somebody like Olivia to do, which is
what forced me to do the forensic on that account. Now, every other transaction in this
list of 50 transactions that Mr Pinto has identified, I have explained. Then the reason
B why I thought it was Olivia's is because it happened on 25 October and on the 26th and
27th I received ----

MR JUSTICE MacDONALD: I have that evidence?

A. Okay. Thank you.

C MR MOLYNEUX: So, you see, Mr Zahmoul, I am very careful not to suggest that Mr
Kassis has done anything fraudulent. I ----

A. But you are.

Q. I have been very careful not to suggest that he has done anything fraudulent because that
D is material to put that. But I do ask whether or not this is your only transaction with Mr
Kassis.

A. Well, I have done Coinbase with him, the shares, if that's what you mean? He has sold
my Coinbase shares from the proceeds of the direct listing of Coinbase. That is --
E otherwise -- we have tried to look at opening a bank in crypto, in Portugal; we have
tried to see if we could purchase a bank in Switzerland; we have conversations, and Mr
Kassis can explain this.

Q. Final question before we break for lunch: At the bottom of that -- I put it to you before
and I do not think you answered: "I'm not sure I am ready to sell yet", you say, "That's
F why I have not been responding." Just remind his Lordship of your explanation for that
again -- because obviously Mr Kassis has been contacting you about something and you
have not been replying. What was he contacting you about?

A. About some Bitcoin, about obtaining liquidity on some of the Bitcoins I held through
G him. So, as you said, I could have gone to Coinbase, I could have gone to Binance, I
could have gone to other exchanges like STX, like many other exchanges that were
open, but I had developed a relationship with Mr Kassis, and it was what we would call
H an "over the" -- OTC transaction -- I can't remember what that stands for -- over the
counter transaction, and I thought I could trade with him directly at a cheaper cost,
cheapest fee cost than transacting through Coinbase or through any other exchanges,
which is why we did this small trade to see that he received the fund, and then when and

A

if I am ready to trade, I will trade. Now, if you see what happened after that in Bitcoin, it was the Covid that came, and that is when Bitcoin had a huge uptick.

Q. And so we are totally clear, these were official transactions taking place with Forte Securities.

B

A. So I would like you to ask him that.

Q. Well, I am asking you.

A. I believe so. Let me phrase it differently. The proceeds of the funds, again, the fee and the money that he would have paid me, I expect would have come from a regulated entity.

C

Q. I do not think you know the answer to my question, do you?

A. I guess not.

Q. Thank you. Should we break there, my Lord?

D

MR JUSTICE MacDONALD: Yes. Thank you. (To the witness) For the final time, I just need to remind you that you are not to talk to anybody about your evidence ----

A. Yes.

Q. -- until we conclude your examinations this afternoon. All right?

E

A. I won't be talking to anybody even after this.

Q. Thank you. 2 p.m.

(Adjourned for a short time)

MR JUSTICE MacDONALD: Yes. Mr Molyneux.

F

MR MOLYNEUX: Mr Zahmoul, there was some issue, was there not, about -- I think you were unclear about it, about whether the Forte account was an official Forte crypto account, whether it might be Fadi Kassis. I think your evidence on balance was that you thought that it came on official headed notepaper; that it was an official Forte account. You would be happy, I presume, for us to make a joint approach to compliance so that they can confirm in reference to the wallet details and the date of the transaction; that this was a proper Forte transaction with you?

G

A. 100 per cent.

Q. Thank you.

H

MR MOLYNEUX: My Lord, before I start I note 3 o'clock is the cut-off. Obviously Ms Campbell needs some time to re-examine.

MR JUSTICE MacDONALD: Yes.

A MR MOLYNEUX: So, I am just thinking in terms of the allocation of that time. I do not know how long she is likely to be.

MS CAMPBELL: Certainly 30 minutes at least.

B MR JUSTICE MacDONALD: Well, I think looking at the arrangements, the cut-off is probably close to 3.30, having had a chance to look at how long it is going to take me to get to East London Family Court. So I think the hard cut off, Mr Molyneux, is 3.30.

MR MOLYNEUX: Fine. So that means that I should stop at 3 o'clock.

MR JUSTICE MacDONALD: 3 o'clock. Thank you.

C MR MOLYNEUX: Right. (To the witness) We have only got 55 minutes, so I really do need some focused answers, Zahmoul, if you would be so kind. I will try and make focused questions as well. One of the issues in this case is whether or not you have exerted pressure over Nadia in relation to allowing her to litigate and my submission to the judge is going to be that you have made it as hard as possible for Nadia to fund her legal fees. D It is correct, is it not, that when there was £750,000 standing to your joint credit with Bank of Jackson Hole, she asked whether she could use that rather than draw down on litigation loan funding. Yes or no?

E A. Yes.

Q. Okay, and Bank of Jackson Hole -- if you look at 1615, you will see the answer. Bank of Jackson Hole confirmed that that was possible, provided that, say, \$300,000 were left in that account. 1615, if you just look at it so you can confirm, because it is obvious from the text that that is correct.

F A. No, but you're just changing the chronology of events, which makes it -- you can spin anything you want that way.

Q. But I do not want to spin anything. Just tell us ----

A. That's not correct. Actually ----

G Q. Tell, his Lordship what is unfair about the way that I have couched the question.

H A. Okay, so you asked whether it was fair to say that Nadia asked for money out of the Bank of Jackson Hole account. She asked for that in front of Judge Cope on April 7th. Judge Cope rejected that, and that is why we removed it from the initial draft order of Judge Cope on April 7th, 2021. The original order provided by Withers, and I think it is one of my submissions, had in draft the -- I apologize for the term. I do not mean any disrespect by it. The sneaky introduction of that line saying that we were allowed to use the money of \$750,000 that was sitting in that account as collateral for the loan to be

A used for legal advice. And the last minute in the hearing of April 7, I pointed that out to my solicitors who basically had it removed and Judge Cope removed it. Now, you have to appreciate that when we got a mortgage, the mortgage is \$5.72 million for a house that costs \$4 million. So, we got more money than actually the value of the house, and the condition for that was to put \$750,000 as collateral that was supposed to stay there.

B There was a letter in August 2021 from the bank saying that while they intended for this to become hard-coded into the documentation, they didn't put it there, so technically it could be used. And then further on, in October 2021, another letter came, which was

C another -- because I had asked the Bank of Jackson Hole to do a new mortgage so that we could extend the mortgage from 2025 to 2028. And they had then said they wanted us to reduce the size of the mortgage because it was too big given the divorce, etcetera. So this happened in about October 2021. And then again, in September '22, we know what happened when they asked for the repayment of at least 1.72 million, which I

D decided to pay back a lot more to first remove the liquidity of our asset, and because I was ----

MR JUSTICE MacDONALD: Well, I understand that?

A. Sorry, I apologise. Sorry.

E MR MOLYNEUX: We need to be pretty short because I have got quite a bit of material I need to try and get through, Mr Zahmoul, okay. I want to take you through a run of correspondence and I want you to be able to comment on it?

A. Sure.

F Q. If we look at 1595. This is 14 of September ----

A. 1595?

Q. 1595?

A. Yes.

G Q. This is correspondence from Withers in which they say: "On 14 September ----

A. 2021.

Q. -- in relation to litigation loan funding..." -- 1595, third paragraph down?

A. September 14, 2021, correct?

H Q. Correct. "Detach ... have now confirmed ... my client the litigation loan in the sum of 280,500 ----

A. Yes.

Q. -- return in one year to fund her unpaid and future legal fees."?

- A. Yes.
- A Q.
- B “Of course, my client need not pursue this course of action if your client would agree that she is partially released from her undertaking not to diminish the balance of the parties’ joint Bank of Jackson Hole funds in order to draw upon those accounts to meet her legal fees. My client received an email on 18 August 2021 which confirms that she could withdraw funds up to \$300,000 without any impact upon the mortgage secured against the Wyoming properties. It is not as great as the loan that Detach are offering but would avoid my client being forced into an arrangement whereby she has no option but to incur interest at a rate of 12% per annum on the litigation loan.”
- C If you look at 1599, you will see your response to that. You said,
- D “It is unnecessary to take out a litigation loan ... funds are able to meet her legal fees across the bank account, the Fidelity account in particular, her incomes needs are amply met. These funds should be utilised towards her legal fees first. Thereafter, once the total balance of the accounts are reached, say 20,000, my client will agree your client can draw funds from the Bank of Jackson Hole account to discharge bills up to a cap of the legal fees incurred by my client for the equivalent period on a pound-for-pound basis.”
- E A. That is correct.
- Q. You were attempting, were you not, by imposing that limit to prevent her from making the inquiries that she wanted to make in relation to your finances?
- A. No.
- F Q. Could you look at 1676, please? Because she did take out the loan. 1676?
- A. Yes.
- Q. In fact, before we look at that, just look at ----
- A. 1676.
- G Q. Yes. Before we look at that ----
- A. It’s ‘23.
- Q. -- look at 1607, because I want to take you to the whole run of correspondence so you can comment on it.
- H A. Say it again.
- Q. 1607. So this is the response from Withers in relation to the letter that we have just looked at. Withers say:

A “Your letter of 29 September is too little, too late. Given my client access to Bank of Jackson Hole account for legal fees was an obvious and collaborative way forward raised with you months ago. Requests have been repeated regularly. Only now, when your client realised my client might have access to funds for legal fees from a litigation loan, you come up with a proposal contained in your letter. Sadly all your client does is demonstrate what my client has been saying consistently, that your client's strategy has been to starve my client of access to funds to browbeat her.”

At 1633, there is a ----

A. There is no question here on one six ----

C Q. We are going to look at the whole run, okay, in the interest of speed, and then I am going to ask you to comment in relation to this. So, we have now fast-forwarded to the best part of 12 months, and Withers are writing again on the bottom of that page: “It is not reasonable ----

D MR JUSTICE MacDONALD: What page are we on?

MR MOLYNEUX: 1633, my Lord.

MR JUSTICE MacDONALD: 1633.

MR MOLYNEUX:

E “It is not reasonable for my client's ability to pursue her case to be constrained by your client's control of her access to funds. Your client, unlike mine, has significant funds available to him in order to meet his legal fees, and there are ample resources in this case to enable each of our clients to meet the legal costs they incur. Please confirm by return your client will agree to the funds held in the Bank of Jackson Hole checking account 4797 being released by my client to enable her to meet her outstanding and ongoing legal fees.”

F A. Since September 13, 2022.

Q. That is in September ----

G A. 13th.

Q. 13 September 2022.

A. Yeah, very important.

Q. Okay. So, there was a theme, was there not, during this whole period of time that Nadia wanted access to liquidity in order to fund her legal fees, and she did you not want to have to take out a litigation loan. That is a fair summary, is it not?

H A. I don't think so.

Q. Why is it unfair?

A

A. Because Nadia did not disclose -- so on September 13 -- it is on September 15 that she finally disclosed that her Detach loan had gone from \$280,500 to \$657,000 -- pounds, sorry. We are talking about -- sorry. I get confused. So she had never disclosed between September 2021 -- and she went through the cap that she had received from Detach, I am estimating, around March 2022 is when she had gone through the \$280,500. We had then hearings on March 3rd, March -- May 16th, June, I forgot exactly what date, May 31st, July 12th, July 13th -- and during all this time, there were requests for her to provide information as to where her borrowing or where she was able to fund all these legal fees and started -- no, not yet started litigation -- yes, and she never responded. The first time that she sent us -- to respond to her third-party costs with Nick Warr, which was over £150,000, that was in July -- September 13th. And then it is at the same time that she sent us the form from Detach of £657,000 with 12 per cent accrued interest. This is what had me panic. This is why everything was liquidated at that date. I didn't care what price it was. I didn't care anything. I wanted to reduce everything because I no longer had the capacity to sustain a £5.72 million -- million dollar mortgage that was coming due within 24 months.

B

C

D

E

Q. So, just pause there?

A. Yes.

Q. That was the catalyst for you doing what you did. You decided, in order to eliminate the liquidity in the case ----

F

A. No, in order to repay my debts.

Q. Yes, but you said that the catalyst for that -- I am paraphrasing because I have not got a note, you said the catalyst for that was discovering that the borrowing had gone up.

G

A. The borrowing, the undisclosed third-party costs, the money from her father; she seemed to have access to excessive amounts of money, that she was not disclosing, and yet she was continuing to spend money while our assets were going from 10 million, as the November 4, 2021 email had suggested -- that we sell everything I could touch, and we could repay the mortgage and have enough liquidity for her to have her ----

H

Q. You are roving away from what we are discussing now.

A. I am explaining the exact process.

Q. We need to keep context within reason. Could you look at ----

A. Okay.

Q. -- 757, please, because at the same time ----

A

A. 757?

Q. 757 -- at the same time you engaged in another transaction.

MR JUSTICE MacDONALD: Well, let us just ----

A. Sorry.

B

MR JUSTICE MacDONALD: No, no. Find 757.

A. I am sorry, 757. I am there now.

C

MR MOLYNEUX: So there we see details of personal monies that are owed to you on 757.

2.6, "personal loan to Hajime Kobayashi(?)". I am hopeful that you say both of these debts will be repaid. There is no written loan written with Phil Steadman, I presume there was with the Hajime Kobayashi. So you have been owed at the time that you have produced this -- you have been owed £60,000 pounds by Mr Kobayashi for a period of 16 years?

D

A. Correct.

Q. Okay. And then in August 2022 ----

A. Yes.

Q. -- what do you do? Look at page 1544.

E

A. 1544.

Q. You loaned him \$500,000?

A. That is correct.

Q. Now ----

F

A. 1544.

MR JUSTICE MacDONALD: What page?

MR MOLYNEUX: 1544.

A. Yes.

G

Q. At the foot of that page:

H

"Karim informed me in August 2022, he made a loan, unsecured, of \$500,000 to a friend and acquaintance of his called Hajimi Kobayashi. Karim did not explain the purpose of this loan other than to say that his friends needed liquidity. I am simply amazed that he felt able to transfer ... to Hajimi in this way. Hajimi was the owner of Winks London, an adult entertainment and sexual massage business which has now shut down. He still owed Karim 60,000 from a loan of 120,000 he made to Hajimi nearly 20 years ago in 2005, which Hajimi has never paid back."

A

At 1819, you were asked some questions about this loan. Could we just look at what you say?

A. 1819, yes.

Q. 1819, "Loan to Hajimi Kobayashi." You were asked to,

B

"... provide copies of all correspondence passing between the Respondent and Mr Kobayashi relating to the said loan made to him by the Respondent of \$500,000 in August 2022, together with copies of the loan agreement if any."

And you say:

C

"Mr Kobayashi and myself both live in Lisbon. There is therefore no correspondence, except the one already provided to Nadia. That should be repaid shortly."

Again, you were reducing the amount of liquidity that you had available to you, were you not?

D

A. No.

Q. And you were doing this to spite Nadia.

A. Actually, I do not believe that is correct. So, this is -- the dates of the loan -- sorry, so

E

what happened is, and again, we are going to look at the chronology, but Hajimi Kobayashi's mother passed away just before this loan was made. So, he was -- I went to his mother's funeral. She was a close friend of ours, of Nadia as well, although she probably didn't like her. But she was a very close friend of mine and she passed away at the age of 94 with was a very traumatic end of life. And he -- she had -- he had an apartment in Paris, on the Sixteenth Arrondissement, and an apartment in Aix-Les-Bains, and he has his own apartment in Battersea in London. And he had no liquidity, so he needed some funding, and at the time -- this was before I knew Nadia's Detach loan.

F

This was right after the court hearing was displaced from Bristol to London. I had the crypto assets. I had the Coinbase. I thought I had enough liquidity. I could lend him for a short term, €500,000, which I did, and he would paid me back in January 2020. He was the subject of Mr Webster's presentation to Justice MacDonald on November 17.

G

This was discussed at the time, and my answer stays the same, and I have explained it I think in various aspects of my statements. So, I wasn't trying to deprive Nadia of any liquidity when I did this. It was not to soak up the money.

H

Q. So, it was just a coincidence that you chose to loan \$500,000 ----

- A. It wasn't ----
- A Q. -- just listen; it was just a coincidence that you chose to loan \$500,000 in the middle of divorce proceedings to someone who had owed you 60,000 sterling for the previous 20 years.
- B A. Because his mom passed away and he was incredibly (inaudible). I'm sorry that I did that.
- Q. Okay. You are sorry that you did that.
- A. Well, I am sorry that you think that that's, you know... I came to one of my best friends who had a position -- who was in dire need. I lent him some money when I thought I had -- I still had more than a million euros in UBS or so, and I had the crypto assets, and I had the ----
- C Q. Look at 1542 ----
- D A. -- Coinbase shares, and so therefore I thought it was reasonable to lend him money for a short-term basis, which I recovered.
- Q. Look at 1542?
- A. One five?
- E Q. 1542. This is a list of the ----
- A. 1542?
- Q. 1542.
- A. Yes. This is December 8 -- my response to the December -- no, this was a questionnaire on November 17, yes.
- F Q. 1542 is a list of the monies which you paid down in dollar terms from the Bank of Jackson Hole mortgage between 15 September and 30 September, and it is basically -- you said you did this at whatever price it was. Basically, it is a sale -- you could almost call it "a fire sale", could you not, of all of the liquid assets which you had at 15
- G September 2022 in order to pay down the mortgage. That as a fact is what you did, is it not?
- A. No. As a fact is why -- I believe this was part of the questionnaire that was put to me by
- H Justice MacDonald on the back of the November 17 hearing, which I answered on December 8, 2022 -- and this is the list of all the payments that were made from the various accounts of the one point -- 1.875 is the Coinbase proceeds; the 450 and 225 is the money that was in the Bank of Jackson Hole; and the rest are the receipts from Coinbase Pro, Coinbase that were sent to Bank of Jackson Hole to repay the mortgage.

A

Q. Look at 1621, please.

A. 1621.

B

Q. 1621. This is April 2022. Withers wrote to you -- second paragraph -- on 25 February, wrote to seek the partial discharge of the Bank of Jackson Hole mortgages and the funds in the Bank of Jackson Hole accounts and suggested \$600,000 be discharged from the total of 650,000 of joint accounts.

C

“For the avoidance of doubt, my client does not agree to the Bank of Jackson Hole mortgage being paid down from the Bank of Jackson Hole accounts pending conclusion of these proceedings in circumstances where she has insufficient funds in order to meet her day-to-day living expenses and those of the children, which far exceed the amount that she currently receives from your client each month. She has been left with no other option but to take out a litigation loan where the interest is 11.98% in order to meet her legal costs. My client has made multiple requests since April 2021 when your client cut the funding available to my client by circa 71% for your client to agree to my client being released from her undertakings in respect of the Bank of Jackson Hole so she can use the funds held in these accounts, which are acknowledged to be matrimonial, to meet her legal fees, but to date your client has refused.”

D

E

Okay, hold that thought; there will be a question coming, but also look at 1633?

A. Yeah.

Q. This is a letter from Withers on 13 September to your solicitors in relation to the funding of future legal costs, because as I said at the beginning of this third paragraph ----

F

A. Did you just read it?

Q. 1633.

A. I thought you just read it before.

Q. Yeah, we are returning to it?

G

A. Okay, sorry.

Q.

H

“My client has exhausted the current litigation loan facility and her litigation loan providers have now confirmed that they are not willing to extend her loan any further on an unsecured basis due to the lack of UK cited assets in this case.”

And then at the bottom:

“It is not reasonable for my client's ability to pursue her case to be constrained by your client's control of her access to funds. Your

A

client, unlike mine, has significant funds available to him in order to meet his legal fees, and there are ample resources in this case to enable each of our clients to meet the legal costs that they incur.”

Q. Your response on 1638 ----

A. 1638 is the Bank of Jackson Hole, yes?

B

Q. Your response is to speak to the Bank of Jackson Hole, which will then lead to them, first paragraph,

C

“... based on recent conversations [with you] it has come to the Bank's attention, your financial condition, which was relied upon as a base for the approval of the existing loan you guaranteed with the Bank of Jackson Hole is materially deteriorating.”

D

Bringing those threads together, here is a question: you knew that Nadia did not have liquidity to fund litigation expenses and, she said, living expenses. That had been foreshadowed over a number of months in correspondence. Your response to that was to alienate almost all of the liquidity in the case by paying down the mortgage. That was wrong, was it not?

E

A. I don't believe it was wrong. And I was not trying to do what you just said. I was trying to protect our assets. Protect our assets - our joint matrimonial assets. We had borrowed more money. This is the bank that has lent us the most money ever in my life, and now they will not talk to me anymore because Nadia has sued them in Wyoming. They will not consider rolling the existing mortgage, but keeping the mortgage as of today.

F

Q. Look at 1650, please.

A. 1650.

Q. 1650, yes. An email from you to Nadia and to Nadia's then solicitors, Withers.

A. When I was in self-represent, right?

G

Q. Yes. You say how much you spent in the first paragraph. You then say:

“... to save on legal fees, which continue to deplete our joint assets, I have decided to self-represent myself legally in the matter of this divorce.”

H

I just pause there. One of the things ----

A. Sorry, you went too fast. Sorry, Mr Molyneux.

Q. Sorry, I was just reading those first paragraphs?

A. Which one?

Q. The first paragraph of the letter,

A

“Dear Nadia, we have now spent \$2 million on legal fees and third-party fees in the divorce in less than two years. Our lawyers are expecting us to spend another 250,000 at the next direction hearing, another 700,000 at the final hearing, and we have lost over \$8 million between crypto and Coinbase shares. Therefore, order to save on legal fees, which continue to deplete our joint assets, I have decided to self-represent myself legally in the matter of this divorce.”

B

A. Correct.

C

Q. Okay. One of the things that you say you should be given credit for, or should be penalised against Nadia, is that you have saved money by self-representing in circumstances in which she has continued, wherever possible, to instruct solicitors. But you understand, do you not, that from the moment she took out the litigation loan with Detach, it was a condition of that that she was represented, that she could not self-represent?

D

A. And yet she was represented, and then she -- the first time she was not represented in the hearing was on March 14, 2020 before Justice MacDonald. And, as I said, it was a misrepresentation to me of her financials that forced me to sell the assets and pay back the mortgage.

E

Q. At 1650, you misrepresent your motivation, do you not, for repaying the mortgage, which you explained to his Lordship was driven by a fear of escalating funds and the availability -- sorry, fear of the escalation of legal fees and the easy availability of liquidity to meet them. Because what you say here, in contrast to the evidence you have given today, is, at the bottom of page 1650:

F

G

“We have two Wyoming properties which the last value is north of 7 million, and four apartments in Williamsburg worth roughly 3 million. Given the massive increase in interest rates that we are witnessing in the US, the 30 year mortgage is now above 6%, the collapse of the British pound, the escalation of the war in Ukraine, I thought it only prudent to protect our assets by reducing their large debt burden maturing in less than three years. As a result, I have taken steps to repay as much of the mortgage as possible. You should also note that the valuation of the Wyoming properties are dropping in value and the next valuation will be closer to 6 million. Accordingly, the 5.72 million that we had in joint debt has now been reduced to 1.77 million.”

H

You then explain how that has been achieved. The reason that you were doing this was to put maximum pressure on Nadia in circumstances in which she had no liquidity at all and you did you not really want her to be represented, did you?

- A. That is not true. I was trying to have her communicate and engage properly. This is --
A may I answer or is this just ----
- MR JUSTICE MacDONALD: Well, I think I understand your case about how hard you tried to engage. Yes.
- MR MOLYNEUX: Could you just look at 3017, please. Actually, before we do that, there is
B just one final thing in relation to paragraph 1. It is page 1651, three paragraphs up from the bottom. You say there in your letter to Withers and to Nadia:
- “While repaying the Wyoming mortgages I have not changed the
C value of our joint assets. It secures a steady stream of cash flow that will come from the property rentals. Given the enormous capital depletion of the past two years, I will also soon no longer be able to send you £2,000 per week and further pay for the rent in Cheltenham from our capital.”
- So you were saying in terms that there was a risk for Nadia that you would stop or
D reduce the amount of maintenance that you were paying. Was this not an attempt to put her under intolerable pressure in these proceedings?
- A. I don’t recall. One second. I am just trying to frame it. Which paragraph are we just
E reading?
- Q. It is the third paragraph up from the bottom. on page 1651.
- A. Yeah, but then you have to continue reading, right?
- Q. Just answer the question. However you want to answer it, just answer it.
- A. No, I was suggesting that we had no more capital, and therefore we were going to have
F to use the income from the property to meet our day-to-day need. Nevertheless, we would both receive 100% of the rental property income after a minimum debt service because the debt was repaid, which would allow us to get about the same amount of money that we were getting at the time. So, she was going to be able to receive exactly
G the same amount of money, except it was not going to come from capital depletion because there was no more capital to deplete -- and it was going to come from the income of the property. That’s what I was suggesting.
- Q. That was the autumn of 2022. Look at 3017 please.
- H A. Three -- slowly ----
- MR JUSTICE MacDONALD: 3017?
- A. Sorry.
- Q. Okay?

A

A. 3017.

Q. Yes?

B

A. You know this -- I am not as witty as Mr Molyneux and I am happy to come back tomorrow and stay overnight. I mean I don't need to watch this because I don't want to make mistakes. I don't want to make -- I don't want to say the wrong thing and I will be taken off guard. I would appreciate -- I am happy to come back tomorrow.

Q. I understand that, but the court also has other cases. Yours is not the only case that I ----

A. I understand.

C

MR MOLYNEUX: 3017?

A. Say again

Q. Paragraph 8, 3017: "On discovering ----

A. 3017.

D

Q. 3017?

A. I am there. 3017. Yeah.

Q. So we have seen what has happened. You ----

A. This is what?

E

Q. We have gone through the narrative of discussions with Bank of Jackson Hole of the disposal of the other liquid resources, of paying down the mortgage for the reasons that you say in your previous evidence. Then at 3017 you say:

F

"Upon discovering the lost and sequestered crypto account with Xapo in March 2023, I proceeded to recover the funds and used most of them to further reduce the joint mortgage by another \$361,000, bringing the outstanding mortgage balance to 1.45 as clearly articulated in my statement of 10 April."

G

You were doing this, were you not, to make it as hard as possible for the courts to help Nadia in the context of applications for legal services and maintenance pending suit and in order further to heap pressure on her. That was your motivation ----

A. No, no, no.

Q. -- when you found this money you did not even know existed.

H

A. Not at all. So we got a mortgage on the basis of property that we had with not enough income. I am not a US resident. I don't have income, she doesn't have income. It is very difficult to sustain a mortgage in the United States without that. We got lucky to have a mortgage from Bank of Jackson Hole. She decided to litigate with the bank. So

A

my number one -- and I wrote this in one of my statements -- that the cost to repay the mortgage back in 2025 requested us to pay back \$120,000 a month from that point onwards. So, any money that I had that was free, I was going to use to repay the mortgage. I have articulated it, expressed it, and would continue to do this today.

B

Because I do not want to be left at the end of the maturity of the mortgage with the bank having to foreclose and sell our assets at whatever price there is out there, and therefore we would lose that much more money for both of us.

Q. So, in the context of this divorce ----

C

A. Yes.

Q. -- where you had indicated that it might be hard for you to continue to meet your maintenance obligations at the current level, and whether you knew that there were live issues about how Nadia could fund her litigation costs, you thought it was reasonable for you, having discovered this forgotten \$360,000, to use it to pay down the mortgage even further?

D

A. Because paying down the mortgage increases the income from the property and therefore provides us with more money for each of us to have every month, every time you get the income instead of having the capital sitting idle.

E

Q. Look at 2856 please.

A. 2856. This is from Chris Panco(?).

Q. Yes. 20 October 2023, the first paragraph:

F

“As you are aware, there are significant issues with respect to the lack of liquidity in this case, which impacts the party's ability to meet their respective interim needs and legal fees. Indeed, it would appear that even with access to the funds that are currently frozen and those available via borrowing against the Penn Mutual policy, there are insufficient resources to meet both parties' legal fees and living costs until the conclusion of the final hearing.”

G

Is that not your solicitors acknowledging a problem which was entirely of your creation?

A. Not at all. Can I explain or ----

Q. Answer the question as best you wish and then we will move on.

H

A. So this is an email that came right after what was called the *ex parte* application on the day of the meeting that we had on September 9 in front of Justice MacDonald. His Lordship is very familiar with what happened. At the judgment of June 6th, when the LSPO and MPS was obtained, I was self-representing. Mr Ewins proposed to send a

A note to the court with 17 errors in nine pages. And in it, there was a list of liquid assets. Amongst those liquid assets was savings and investments, which was the savings and investment that is on my ES2 that still today are non-liquid investments. And the third item was the Penn Mutual policy. And so in the judgment, it was stated that I had ample liquidity to meet both the LSPO and MPS and my own costs. And I should have, and it was repeated to me twice after that in judgments, that I should have appealed. And I didn't appeal based on advice that I had received because I had the Penn Mutual policy. And that is why I didn't. And this letter was to address exactly that point.

MR JUSTICE MacDONALD: Yes, thank you.

MR MOLYNEUX: We looked a moment ago at the letter which you wrote in the autumn of 2022, at the time when you said that you were self-representing. Can you just look at 3161, please?

A. 3161.

Q. At the very time that Nadia was telling you that she was concerned about how she was going to continue to meet her litigation costs and you were reducing liquidity, so throughout that middle and latter part of 2022, right up until April 2023, you were using marital resources to fund your own litigation costs, were you not? And that is a "yes" or "no" answer.

A. So, I had lost representation with HFC around -- I want to say October, early October, end of September, early October, 2022. In 2022, I was in Wyoming and I was tampering with the idea of self-representing, but it would have been my first meeting in front of a high court judge. And therefore, I was advised to use Camilla Baldwin ----

MR MOLYNEUX: My Lord, can I recast it in a more straightforward way?

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: (To the witness) Because I am just going to read this back and I want you to tell me -- tell his Lordship what is wrong. 3161, okay, paragraph 7.

"I note that Karim has constantly made false representations, false statements to the court regarding his legal expenses and claims of being without legal representation in order to shift focus to my legal expenses..."

-- writes Nadia, in this statement.

"For an example, in an email to the court dated 7 July 2023, Karim states,

A

‘I wish to confirm that since the date of 18 November 2022, I have not engaged any legal representation with the United Kingdom. Furthermore, there has been no shadow representation on my behalf during this period.’

B

“In Kareem's recent disclosure of costs incurred with respect to legal advice and divorce and financial proceedings and Wyoming litigation, it is, however, clear that Karim was represented by Camilla Baldwin during that time.”

And then there are a list of figures and the periods to which they reference and its:

C

“Account billed £130,000. Account paid: £130,229. Throughout this litigation, I have been trying to persuade the court to make orders to preserve assets of liquidity whilst Karim has been dissipating assets.”

Focus on the first bit of that. What is incorrect about what Nadia says there?

D

- A. So Nadia says that I was represented for the hearing on November 17. On November 18, I signed the form to be self-represented from Camilla Baldwin. She -- and I have not paid her any money between that and post-LSPO MPS. What Nadia mischaracterised is the 1,400 credit, she thought that was a debit to her, and then the 19,000. She believed that the amount paid -- well, it is a negative sign of \$18,148 in January to June 30, 2020. It is Camilla telling me back what she owed me. And Nadia thought I was paying Camilla. She said that on two statements, but it is me getting back money from Camilla because I had overpaid her and was not using her services. So, we went through this in - - I think Justice McDonald and in the last -- in either September or November 1, there was a request because ----

E

F

Q. I can see the judge nodding. So it may be that we can move on, if we are already across this one.

G

- A. Yes, because I discovered ChatGPT, and if you can tell the difference between my writing before when I wrote to Nadia and the email you mentioned yesterday, and after that, there was a completely different change of language because ----

MR JUSTICE MacDONALD: I have the point.

H

MR MOLYNEUX: Just moving on now to a different topic, have you rectified the tax returns? Have they been submitted to the IRS, because there were a number of errors in them, were there not?

- A. Okay, so there is an email that I believe you have that was sent by my accountant.

Q. Zack?

- A. Zack.
- A Q. Yes. He said it is going to be done ----
- A. No, this is not controversial.
- Q. He said it is going to be done?
- A. No, the 2022 were done. They were fixed. The 2020 --so the tax return was 2020, 2021,
- B 2022. 2022 was done the way Nadia wanted to do. So, we fixed the -- and this is a glitch from the system. There is nothing untoward in what was done. 2020 and 2021 were sent from Zack to Jeff Wilkinson in August and Zack has asked Jeff: "Would you like us to refile?" I mean, "Please tell us what you think?" and there has been zero
- C answer. He's chased it. Zero answer. So there's a lack of desire on engagement for Zack to tell -- for Jeff to tell us whether he wants us to refile those taxes or not.
- Q. Mr Zahmoul ----
- A. My accountant ----
- D Q. -- let us make it uncontroversial, okay. I just want to understand which returns have been filed ----
- A. 2022 is the first return.
- Q. That is with the IRS now?
- E A. Yes.
- Q. All done.
- A. Yes.
- Q. 2022?
- F A. Yes.
- Q. Okay.
- A. And she has it and I mean -- and she was asked to check it, but we don't get answers back. So, I mean, I'm doing all the work. She's welcome to do the work if she wants to
- G return it to be the way she wants it. But I am doing all the work. I sent it to her for approval, and I don't get anything back.
- Q. So, are you saying that it has not yet been filed?
- A. No, it hasn't ----
- H Q. -- and it's Nadia's fault.
- A. The 2022 has been filed. 2021 and 2020 have been filed in the way she believes are incorrectly filed. These filings have no consequences. Refiling them raises the risk of audits, which my tax advisors suggest we don't do that, because they have no

A

consequences. We're talking about the filing of entities that have nothing to do with our personal filing. It's just the entities that own the property, which then gets fed into the personal tax return, whether it is hers or mine. Mine is a non-resident tax return so it is not relevant that it says that I have a US address which defaults into a US citizen person. It is not that relevant from a tax perspective now. You need a tax expert to tell you this.

B

So, to answer your question, 2022 has been filed the way she wants it. 50/50 on the mortgage and the right amount of -- a proportioning of the residual mortgage.

Q. Focus on the question, Mr Zahmoul. Listen to the question: 2022 has been filed?

A. Yes.

C

Q. Okay. 2020 and 2021 ----

A. But they ----

Q. -- have not yet been rectified because you say that rectifying them risks exposing ----

A. Risks ----

D

Q. -- exposing them ----

A. But we haven't ----

Q. -- and still reinvestigation.

E

A. Okay. We have -- we have redone the 2020 and 2021, sent them to Jeff Wilkinson for approval. He has never returned back to us with anything. So even if we wanted to refile them, we don't have the approval for her, that she's okay for us to refile them the way they are now.

F

Q. I will have to take instructions on that very briefly in a moment.

A. But the emails -- the emails are in the bundle.

Q. The position, Mr Zahmoul, you can tell his Lordship whether this is right, is that nothing in any of those returns would be relied upon you to thwart any order that his Lordship makes in relation to those properties?

G

A. They are tax returns.

Q. Can you just answer the question?

A. No.

H

Q. Nothing -- because in those tax returns, it misrepresents who the loans are attributable to, your respective partnership shares, who is the managing partner ----

A. No, it does not.

Q. -- your nationality.

A

A. No, it does not change the partnership shares of the ---- No, Mr Molyneux, you're saying things that are incorrect. You are repeating things that are being told that are incorrect. The partnership returns -- the percentage of the partnership ownership is the same. The only legal document that determines how much money we owe, and we are joint and several owners, is the legal document between us and the bank. The tax return, if they're false, okay; it's a mistake. They're false. We can fix them. They have been fixed in 2022, which is the only one that matters now. So, the latest one filed.

B

Q. Mr Zahmoul, this is meant to be really uncontroversial, okay? I just want you to be able to reassure your wife that you will not rely on anything. I know you say you could not anyway, but you will not rely on anything in those tax returns to thwart the implementation of any order that his Lordship makes. That would not be something that you would wish to do.

C

A. It is not possible even if I wanted to do it.

D

Q. Thank you. Look at 875 please.

A. 875?

MR JUSTICE MacDONALD: Yes.

A. I am there. I don't know what that is.

E

MR MOLYNEUX: Paragraph 69. It is about Ambulance.

A. I am trying to understand.

MR JUSTICE MacDONALD: 875?

A. Yes. 18 February 2020.

F

MR MOLYNEUX:

G

"I emailed Karim back with my view on the companies at Ambulance. A copy my email is enclosed at page 318. Shortly afterwards, I recall that Karim made a capital contribution of \$50,000 in Vas Venture Healthcare LLC, a special purpose vehicle set up for the sole purpose of investing in Ambulance. I remember him saying that he received a membership interest in the LLC. I recall that Mike Deeg invested in the start-up as well."

She is right about that, is she not?

H

A. Which aspect because she said three things. So I don't know which one she's right about. She said two things. Mike Deeg, me, and ----

Q. She is right about the entirety of that paragraph?

A. No, she's not right.

- A Q. Would you like to tell his Lordship which bit she is wrong about?
- A. No, she's not right.
- A. Mike Deeg invest... Okay. Ambulance was an investment that I was considering. I couldn't do it because I was based in the UK and the entity that was selling it was not allowed to solicit business from UK-based people. Because my wife is American, I offered that she becomes a shareholder instead of me. They said no because she lives in the UK, so we ended up not doing it. Then there was this infamous spreadsheet that I sent her on May 2017 that had Ambulance -- and the idea was me and Mike Deeg... I had invested in Blackstone Special Opportunity Fund, and Mike Deeg was going to give me \$25,000 of his Ambulance investment ----
- B
- C Q. Shall we looked at it?
- A. Say again?
- Q. Is it easier to look at it?
- D A. I mean, I remember it. To look at which one?
- Q. It would be easier for his Lordship if we look at it. Do it sequentially and then you can explain your position. 1079 please, 1-0-7-9. So 15 November, you to Nadia, "Ambulance".
- E A. 1079. No, sorry, say it again.
- Q. 1-0-7-9 is an email from you to Nadia in which you attach the investment summary in relation to Ambulance and you say: "Let me know what you think."
- A. Oh yes.
- F Q. And her response to that is at 1193. It is the following day. She says: "It looks very interesting."
- A. Yes.
- Q. "Large market, good demographic trend, fragmented and inefficient."
- G A. Yes.
- Q. "If I were you I'd also understand better the relationship with MedicAid and MediCare..." etcetera. Okay. Then at 1472 there are some emails passing between you and Doug Chertoff ----
- H A. From Vas Venture.
- Q. -- on 11 November 2016. He says -- "I am sorry, terribly sorry", This is 1472,
- "I am terribly sorry to report that unfortunately Vas Ventures Healthcare LLC legal compliance has determined it cannot accept the

IN PRIVATE

A subscription documents that you submitted because you are based in the UK. The Funds Council has advised the Fund cannot accept any investments from potential investors based in EU countries due to the AIFMD.”

And then your response overleaf is:

B “I just saw this email after Mike mentioned something from a conversation with Nikhil. I am not sure I understand/follow what you are saying. What exactly is the recipe for investing here? I am not compliant, but I want to approve the investment if that helps. I work for an AIMF. I am not sure I understand your explanation. My wife is a citizen. I can put it under her name.”

C He replies on 15 November -- sorry, you then -- he replies on 14th,

“Karim, can you give me a quick call and we can sort this out ASAP.”

D You say, “Apologies, I was already asleep.” “Please call me when you wake up.” He says,

“Hi Karim, I will be able to talk if you have not contacted with Nikhil, or have questions.”

E And that is pretty much it in relation to Ambulance until we get to -- and there will be a question at the end of this -- until we get to the spreadsheet at 1387. At 1387 we see a spreadsheet that you produced and gave to Nadia in the May of 2017?

A. Excellent.

F Q. In which you say there at the bottom, “Ambulance, US \$25,000”, which is half of the 50. “VC investment via TRS”, which is “total return swap”. I think is what “TRS” stands for, “with Mike Deeg. Contact Mike Deeg.”

A. Mmh.

G Q. So six months later, after this exchange, where you are looking for a solution, you include that on a spreadsheet. You say you got half interest in the \$50,000 which were invested. You say this is being done via a total return swap. That is what happened, is it not?

H **A.** No.

Q. You do or did have an interest in it?

A. No.

Q. Why? Explain to his Lordship why.

A

A. So the total return swap that I was -- so basically this link to a spreadsheet that was on my Google Drive was sent to Nadia on May 17. Just above -- this was a subject to -- this was presented to his Lordship on the first hearing by Simon Webster. We went through this in detail at that time.

B

Q. So, this is the first time that evidence has been adduced and you are being cross-examined on it, so I am going to ----

A. Oh okay. No, no. I am not saying this to stop you cross-examining me on it.

Q. -- continue to ask questions.

C

A. I am telling you so I'm giving you background. So just above that investment is a \$75,000 Coinbase FF series FF, just so we are clear. This is the spreadsheet that I sent a link to Nadia in 2017, that she sent back to me in March 2022. to say that I hadn't disclosed this investment. Now, the total return swap that Mike was going to do with me was for me to take \$25,000 of Ambulance and he was going to take from me, because the total return swap to be cashless so that we can both share the same thing, was against the Blackstone Special Opportunity Fund that is a little -- just 2016, just four lines above this, "Blackstone Special Opportunity Fund," which has been disclosed. I haven't given \$25,000 to Mike Deeg, and this has been basically the difficulty in putting between two individuals, something that we did at work all the time between institutions, which is a total return swap, turned out to be a lot more complicated for tax purposes because American I'm not; what would have happened to me if I moved; if I didn't move etc. So, we decided after six months of consideration not to do it. Now, Mike Deeg has written an email to the court to Judge Cope on May, on July 13th, explaining exactly what happened, explaining that the total amount of money that he made for his \$50,000 investment was \$100,000, or for his \$100,000 investment -- it was liquidated a year ago or two years ago, where he doubled his money. And so there is an email that I am sure we can show later that dates back from an email from Mike Deeg on July 13, 2020, just before the hearing, in front of Judge Cope with you, Mr Molyneux, where he actually states what he made with the investments. This is public information when they went public. So, it's also public at what valuation he went in. So, he doubled his money and there was no... And I did not participate in it because I couldn't.

D

E

F

G

H

Q. Just a couple of questions in relation to lifestyle. During the course of your marriage, you had a very, very high lifestyle, did you not you?

A. Yes, unfortunately, yes.

A

Q. I mean, I think the spending was 942,000 is what AG tax ----

A. Yeah, it was -- we have seen.

Q. You have an ability to generate in the future money, whether that is from earnings or from investment, in a way that Nadia does not.

B

A. I don't think that's true.

Q. And at 50-50, which is ----

A. I am a white -- I am a white 58-year-old male that is not employable anymore. And Nadia is a woman that is basically being seeked(sic) after. One of her best friends is from UCL, as you mentioned yesterday. He's on the board -- he is a CEO of one of the largest publicity companies in the world. I forgot his name.

C

Q. Mr Zahmoul, is it really your case that Nadia is going to be able to ----

A. She could.

D

Q. -- self-generate income. Is that really your evidence to his Lordship? That she can get a full-time job ----

A. Nadia ----

Q. Just listen to the question?

E

A. Yes.

Q. That she can get a full-time job and be entirely self-sufficient through earning money. 40 hour a week, whatever it is, more.

A. I believe that Nadia can generate revenues, yes. Nadia is very smart.

F

Q. What is your case? How much do you say she can earn and what do you say she should be doing?

A. So, I can compare it to women peers of mine that have been in the industry that have reinvented through universities or through -- and gotten jobs. Marsha Kutkevitch is my partner with Emviry. She hasn't worked for some time.

G

Q. But she is not Nadia. Focus on Nadia. You know Nadia. You have seen Nadia. His Lordship has seen Nadia. Do you think that she can get a job now, full-time, working, be self-sufficient through income -- because I am going to be saying to his Lordship that (a) she cannot, and that (b) she is going to need more than 50 per cent of the assets in any event to meet her income needs and her housing needs. And you have an ability to do that by working and doing stuff that she does not. Is that a fair submission for me to make?

H

A. No, I don't believe so.

- A Q. Why not?
- A. Because Nadia is a lot, a lot smarter than you think.
- B Q. One of the things that you seek an adjustment in relation to is the loss which you made on Coinbase and on your cryptocurrencies by not selling when higher. I am paraphrasing. You ask his Lordship to make what you describe as “an appropriate adjustment”. What is that adjustment?
- A. This is what his Lordship says.
- C Q. Well, it is for you to help his Lordship by identifying what you think a fair manifestation of that bad conduct, as alleged by you, would be. You made the judgment call to sell this, did you not you? Nadia had no input at all in the sale of that.
- A. Because she didn’t that.
- Q. She did you not want you to sell it.
- D A. Or did she not? She didn’t say that. When did she say that? If she did not, she didn’t say anything. I was trying to get any engagement from her -- any engagement. Hello.
- Q. Sorry. I am being asked something.
- MR JUSTICE MacDONALD: Yes.
- E MR MOLYNEUX: (To the witness) The circumstances in which you sold them in the autumn of 2022, that was without any notice at all, was it not, to Nadia?
- A. It was without any notice. I won’t deny it.
- F Q. You also seek an adjustment in relation to the wear and tear on the property, because you did you not get all of the deposit back. You say that that should be, I think, £20,000 because you say that Nadia did not look after the property? You have been in that property, or the children have been in that property, for nine years, had they not?
- A. Not quite.
- G Q. It is reasonable wear and tear.
- A. No, no. Actually, I haven’t had a chance to look at the bill's properly, and as I resend them to Nadia last time around in the conduct statement, I realised that the landlord was taking advantage of some of this stuff. So I’m going to be pushing back hard. He was asking us to pay for (inaudible) that have never worked -- that was never used, that Nadia never actually used on the walls. He was asking us to do things that are true wear and tear, and so I’m going to be pushing back on some of that.
- H Q. So, can I push back on that conduct allegation? Is that something which you are pursuing? You have set out the money that you want from Nadia.

A

A. What I have set out is that she was given -- his Lordship had provided for MPS that was meant to cover certain things. And none of them -- Nadia was not only using that, not only sold my watches, not only didn't tell us that she had borrowed 40,000 pounds from Detach, was continuing to borrow money, which we do not know how much, from her father. It was £2,000 pounds a week, but it increased and increased. It was supposed to be "*aid de famille*", which means help, which means gift money. But I don't know if she's not giving us -- she's telling us nights are long because on the US tax, it's a fraud to say that you don't have -- if you receive gifts from foreign parties, it is illegal not to report it.

B

C

Q. We are moving on to a pretty narrow question?

A. I understand but ----

D

Q. I do not think you do understand because you are dealing with something entirely different. There is £19,950 which you say is bad conduct and that that should be paid by Nadia because you say that she did not look after the property before ----

A. Well, I guess ----

E

Q. Just pause. As I understand it, you are now telling his Lordship that you want to push back against the landlord -- or you feel that their retention of those monies has been unfair?

A. Yes, some of it, some of it.

Q. Please listen. I want you to tell his Lordship whether you are still persisting with seeking £19,950.

F

A. I am persisting in... What you -- how did you say in ----

Q. £19,950.

A. No - what's the word that I was -- persisting in trying to get 12 of 19 because I believe 7 of 19 are an overcharge.

G

Q. Fine, that is the answer to the question?

A. Sorry.

H

Q. £144,000 in relation to continuing interest on the litigation loan. Can you agree with me that the costs, the bulk of the costs in this litigation are costs for which you -- Nadia's costs -- are costs for which you are responsible because you did not make proper ongoing, adequate and complete disclosure in these proceedings. You are the one who is responsible for that, are you not?

A. I do not believe so.

A

Q. You do not believe so. In relation to *Imerman*, you say that reviewing the *Imerman* documents cost £25,000 and was unnecessary and that £25,000 should be paid by Nadia. Could you look at page 87 please?

A. 87. Yes, I am there.

B

Q. It is a transcript from one of the earlier hearings, I think, in front of HHJ Cope. In fact, it was August 2021, and there, half-way down, it is talking about *Imerman* or the *Imerman* documents. Mr Rainer makes a submission and half-way down Mr Blatchley says:

C

“It is wrong, is it not? I mean you have got law on this, the *Lucas* directions. Someone is not necessarily lying because they take a different view of when someone is separated.”

The Judge says:

“Actually, how do you say it should be dealt with, Mr Blatchley”

D

-- and you(sic) said:

E

“Well credibility for each party is always an issue. I am not going to ask the wife to produce a birth certificate to confirm when she was born. I am going to assume she is probably right about that because it is not going to affect an iota of the case. The correct way to do this is the laptop goes back to HFC, as it may already have done. We conduct our own independent assessment of what is disclosable and relevant and we disclose it. If Withers are unhappy with that, there is authority on this. They can make an application for the court to instruct special counsel to review those documents and take a view of it. It happened in two cases before Coleman J.”

F

The treatment of the *Imerman* documents was the treatment that you, through your barrister, was contending for as long ago as August 2021. So, for you to criticise Nadia for the costs incurred in that exercise, is unfair, is it not?

G

A. I don't understand what you are saying, I'm sorry.

Q. What I am saying is you ----

A. I don't understand ----

Q. -- were inviting the judge ----

H

A. I don't understand any of these things. This is quite beyond me, I'm sorry to say.

Q. So it is not meant to be beyond you. If I am expressing it unfairly, I can try and recast it in a more user-friendly way.

MS CAMPBELL: My Lord, if I may say this is a legal argument and it is clearly set in terms of what should happen, and Mr Zahmoul should not be expected to understand that.

A MR MOLYNEUX: Well, I do not think that is fair because he is able ----

MR JUSTICE MacDONALD: Have one more go, Mr Molyneux.

MR MOLYNEUX: I will. (To the witness) You were saying through your barrister that the *Imerman* documents should be reviewed by HFC, and then HFC could disclose back whatever was required. So, that was the approach which you were contending for?

B A. Mmh.

Q. Okay. There were other things that could have -- other approaches that could have been taken in relation to this, in terms of relevance, etc, but that was what happened. If the judge agrees with that submission, I am going to be saying it is unfair for you to suggest that Nadia is responsible, because it was your side's idea. Is that fair -- or can you not comment?

C A. I don't understand.

Q. Okay. I am not going to press that again. I can see it is exactly 3 o'clock. Can I just see whether there is anything very urgent that I need to deal with.

D MR JUSTICE MacDONALD: Thank you.

MR MOLYNEUX: (After a pause) Just two very, very quick points. The first one in relation to you saying that you would dispose of or that you would sell. So I think you said: look, I said to Nadia, in November of 2021, we sell everything now at this high point in the market and then we lock in the gains, and she did not engage with that. And her response is that other correspondence passing at that point was talking about dividing everything *in specie*. So, it did not seem so pressing to lock in because she did not want to lock in. She wanted to ride the market, which was one of the proposals that you were making. So it is unfair to criticise her for the losses incurred by her adopting your approach or your alternative approach, which is divide *in specie*. That is fair, yes?

F A. No, not at all. So we are talking about crypto and Coinbase, just two very specific assets, not everything *in specie* -- not VC, venture capital. Nadia -- I have WhatsApp messages from 2016 when Nadia wanted me to sell Bitcoin. So I don't agree with this, what you are saying at all. This was the all-time high in Bitcoin and the all-time high in Coinbase. It went back to the level that pre-IPO, or just about the IPO level. So it was the optimal time to sell it. And I reached out to her to sell these two assets, not everything that we have, not *in specie*, not my Apple shares, not my oil shares -- just these two assets.

A

Q. But you only know that it is the all-time high three years later, do you not, or two and a half years later? That is the great thing about investing, is it not? You can look back at the graph now and see that was a great time to sell.

B

A. No, but there was also a big divorce going on where a lot of money was spent. So, it was just like -- and then we had a 5.72 million mortgage that, you know, I was -- it seemed I was the only one responsible for in her mind.

C

Q. And then finally, Nadia tells me that in relation to the *Imerman* documents -- I am not going to spend too much time on this -- but in relation to the *Imerman* documents, the extent of the inquiry carried out by HFC was greater than that which she was suggesting should be carried out, because I think there were three or four ----

D

A. No.

Q. Just listen; there were three or four files and she was suggesting that one should be reviewed by the lawyers and she did not require the others to be reviewed because she knew the contents.

E

A. And is that my fault?

Q. And HFC insisted on examining all of them, so the costs were not costs that she required.

F

A. I think HFC felt they had to the court. They had to do what they had to do, is what they told me. Nadia told me that they shouldn't -- Nadia had agreed that, for instance, she talked to the court about the computer yesterday, which is just a small phone computer I had given my daughter. There was nothing on it. She told me: oh, I never said they shouldn't look at that. And then we should take it back. I mean, I have a voice conversation with her when she said that. And now yesterday it became like one of the core centrepiece of the hidden assets. So, I do not know what to understand by what you are saying.

G

Q. You will understand, I am not criticising Mr Zahmoul at all for this, but I have not been able to cover everything that I might have wanted to cover. I think Ms Campbell nods when she references the discussion we had about not holding that against each other in terms of submissions.

H

MR JUSTICE MacDONALD: Yes.

A. Again I -- I don't want this to, I guess, hurt me ----

MR JUSTICE MacDONALD: It will not, Mr Zahmoul.

A. Thank you.

A MR MOLYNEUX: Thank you. I do not have any other questions.

MR JUSTICE MacDONALD: Mr Zahmoul did mention to me, *sotto voce*, that he would appreciate a comfort break.

A. But I can hold it.

B MR JUSTICE MacDONALD: Okay, well, I think then we will keep going. We will keep going.

Re-examined by Ms CAMPBELL

Q. Go back to page 2369 please, Mr Zahmoul?

A. Yes.

C Q. This is just in relation to that last point Mr Molyneux put to you about Mrs Zahmoul was confused. Did you want to sell everything or split everything *in specie*. And as you indicated in reply, you were saying here, "Do you realise that between the two..." -- and you are talking about Coinbase and Bitcoin, "... the appreciation we have experienced over the last month..." -- and you talked about \$10 million. And that is the letter that you have just referenced to Mr Molyneux. What was Mrs Zahmoul's reply to this?

D A. No reply. There was no reply whatsoever.

Q. Would you have a look at 2856, please?

E A. Sure.

MR JUSTICE MacDONALD: Two eight ----

MS CAMPBELL: Five-six.

MR JUSTICE MacDONALD: Thank you.

F MR MOLYNEUX: (To the witness) You have a letter there from your solicitors and Mr Molyneux put this to you to reference your request to access the Penn Mutual. Can you have a look at the very final paragraph on that page? There is an alternative way forward, it says on your behalf. "... and on the basis that there appear to be no issues referable to the identity and scope of the party's real property, my client is making the following open offer on an interim basis dealing only with the transfers of property..." I know his Lordship will be familiar with this, there you were proposing that one party takes one property in Wyoming and one the other; and you are talking about a gift fair, so there would be no tax on that, and then the Frost Street apart would split in half. And what was Mrs Zahmoul response to that proposal as a way of accessing liquidity in her own property.

A

A. So I made that offer as early as before the meeting with -- the first meeting in the High Court through Withers first on October 21 and explained to Dan Bloomgard many times that we had Nadia Harry, who was our 20 year real estate lawyer who said it could be done within a week. And just Nadia believed that I was trying to siphon away property.

B

Q. So just in answer to my question, here was the proposal. What was her response?

A. That it was that I was trying to do something nefarious.

Q. She thought it was nefarious, so she did you not take you up on that. Would you have a look at 1599, please? 1599.

C

A. Yes.

Q. You explained just now that you had made that first offer about splitting the properties, so I think you could mortgage them earlier on in the litigation. But you also made this proposal -- this was back in 2021 when the discussions of the loan were being aired.

D

You said this after the Fidelity account had been used.

“Thereafter, once the total balance of the accounts is reduced to say 20,000, my client will agree that your client can draw funds from the Bank of Jackson Hole account to discharge bills monthly, up to the cap of the legal fees incurred by my client for the equivalent period on a pound-for-pound basis.”

E

What was Mrs Zahmoul’s response to that offer?

A. I think, Mr Molyneux read it: “Too little too late.”

Q. Too little too late. Would you have a look at 2283, please? I probably do not need to worry about you getting to the page and ask the question if you are happy.

F

A. Yes, I am.

Q. So at 2283, this was the reference to the Bitcoins that you discovered in the Xapo account?

G

A. Yes.

Q. And Mr Molyneux put to you that effectively, how could you forget three or four hundred thousand dollars’ worth of bitcoins? But when you left those bitcoins in the account, and we have seen it was November 2017, what were the Bitcoins worth in 2017? Was it for three or four hundred thousand dollars?

H

A. Seven thousand per Bitcoin.

Q. So seven thousand per Bitcoin.

A

A. A hundred thousand -- a hundred and twenty thousand. But the true -- the reality and mentality of this is that it is the same Bitcoin I gave my daughter, I gave Nadia -- I got this Bitcoin for 150 to \$300. So this is kind of the source of these Bitcoins. They come from mined Bitcoin, and Bitcoin that I bought very early on when I had these PayCoins - - this PayCoins account, and they were obtained at an extremely low dollar price. So, it is not like I looked at them as worth how they're worth today.

B

Q. Thank you. And have a look at 2838, please?

A. Yeah, 2838?

C

Q. 2838.

A. Yes.

Q. Mr Molyneux specifically asked you about this transaction on 29 July 2017. And this reads across on that date -- I do not know if you can see it, it is about the middle of the page. It is 07/29/2017?

D

A. Yes.

Q. "My wallet". You sent Bitcoin -- and then it gives the address, and we can see minus one bitcoin at about \$2,706. Have a look at 3651 please, and that was your Zahmoul.net address we were just looking at. Now look at 3651, which is the Zahmoulka@gmail address?

E

A. Yes.

Q. And can you see the fifth item down, 29 July 17?

A. Yes.

F

Q. You received Bitcoin. There is the one Bitcoin and we can see there \$2,705. Is that in and out? Is that what we have just looked at?

A. Yes.

G

Q. Yes. Would you also look at 3651? On this page we have already identified -- and Mr Molyneux took you to this -- at the top it says "deleted".

A. Yes.

Q. "Deleted" -- do you have any idea what that might be?

H

A. No, I think it -- I believe it means that Coinbase deleted it. It means that it has been -- it is an account that because I told him to close it down on January 24th, I think.

Q. All right. And then looking at the account statement period, we can see that is from 18 October '14 through to 15 January '24. If we just look down, start on page 3652, so over to the page ----

- A. Yeah.
- A Q. -- when the wallet is first activated, the bottom line there, because these run up in reverse, you see 19 October, there is the Bitcoin coming in, and we can just see some activity through '14, and go back to 3651; a little bit of activity in '15 and then some more in '17. And then the last activity on this account, as you answered to Mr
- B Molyneux, is on the 31 July 2017. That is the entirety of that account, is it?
- A. Correct.
- Q. Now have a look for me, please, at 2816?
- A. Yes.
- C Q. The same document that we can see. This is the French and UK address, Zahmoul.net. You have explained that because you have a French passport there are the letters "FR" there. Again, statement period we can see is from 2014 up to September 2023. And then if you look at page 2839, we can see where this begins, because they run in reverse
- D order. So, if we start at 2839, we can see the first entry there. Do you have that?
- A. Yes.
- Q. And then I want you to just scroll through these pages in reverse, so going forward in time, to the front of the bundle I think for you?
- E A. Yes.
- Q. When we scroll up we can see the dates going through to 2017, various different types of activity. And this carries on into 2018 and then by page 2835 we are into '19. And this
- F is all the activity through the Coinbase with all those various different wallets but through the same account carrying on and right back up to page 2816. And that is the complete account sent direct from Coinbase, right up to the most recent activity on that balance as the 4 September 2023?
- A. Yes.
- G Q. And that is the other wallet, the new wallet, as it were.
- A. Yes. There should be -- this was obtained right after the hearing that we had on September 7 here.
- Q. Yes.
- H A. It's the first time I updated that format, but I have obtained since then to January 10, 2024 because there is a one that is more up to date.
- Q. And you have explained that to his Lordship, yes. I just want to ask you some general questions in response to what Mr Molyneux put to you. Would you look at page 1338?

A

On paragraph 5, you have already explained to the judge about your explanation that you spoke to your solicitors in April about Coinbase. You mentioned to Mr Molyneux, in answer to one of his questions, that you believe your solicitors have not always understood the difference between Coinbase and cryptocurrency. Can you just elaborate on how you think that has been an issue?

B

A. Yes. So, I think it has been an issue in what Mr Molyneux has said in the letter of July 5 that he read out where he said that I was willing to not -- to exchange information only for the crypto assets, and so the crypto assets for them, just like for Nadia, she said that Coinbase was crypto and crypto was Coinbase. That is why she got confused in some of the emails with the bank. I believe that my solicitors may have been writing that letter, because it was very clear the instructions whether we were going to change -- we were going to change information on what had become Topanga Canyon.

C

MR JUSTICE MacDONALD: Yes we know this.

D

MR MOLYNEUX: This does risk a real unfairness to my client because you can say anything, can you not, if you say: well, I told my solicitor X, Y, and Z. They are obviously confused. I am telling the truth. They know that I am telling the truth because they have ----

E

MS CAMPBELL: I accept that. I will not pursue it.

MR JUSTICE MacDONALD: Thank you.

F

MS CAMPBELL: Mr Zahmoul, turn to page 1380 please -- 1-3-8-0. We have looked at this before, but I want to get the chronology in order. This is 2017, so we are on the 29 November 2017. This is you and your friend Mr Deeg. And you are talking about the Coinbase. And just remind me, who is in green here? Who is speaking in green?

A. Me in green.

G

Q. So this is you. "I've just invested in the Series D Coinbase, showing me numbers that they're making." And then the conversation goes on and ----

A. I do not think it's "I have just invested". I think it's just -- I don't know what's behind the 29th. It is not me investing. I didn't invest in '17 in anything.

H

Q. Okay, that is something else.

A. No, no, it is related to Coinbase, but series -- "showed me numbers that they are making".

Q. Let me ask this. Underneath, you say, "It's not right that we are not getting any info." What does that relate to?

A

A. So that relates to -- so basically we invested into Vas Venture, the entity that provided us with the Topanga Canyon access to Coinbase. And normally, when we invest in a venture capital, at an early stage, you will get financials, you will get information every so often, six months, a year. You basically get information. And here, throughout the life of the investments we never got any information. Which is why when Addidi(?), who was the wife of Mike Deeg, when she met with this guy Steve Jiang at a party in San Francisco, she was like, is this a real investment? I (inaudible) my husband and his friends that invested in this. That is why there was like an uncertainty as to whether this was a reinvestment or not a reinvestment. That is why I described this as being not a traditional residence.

B

C

Q. Okay, have a look at 1377.

A. Yes.

D

Q. This is July 2020, and you are writing to Rachel at Buena Vista. Just remind us, who is Rachel at Buena Vista?

A. She was, I guess, the associate of -- Buena Vista was the name of -- I do not know how they were related, but they were doing the back office work for Steve Yang, I guess.

E

Q. Steve Yang is.

A. The guy who sourced -- the company who sourced the half a million dollars of Coinbase series that he then distributed to people.

Q. Steve Yang organised the Coinbase purchase that went through to Pandora and Buena Vista, were giving you information related to that.

F

A. Exactly, and they are the ones who are producing the K-1 every year.

Q. Okay, you write, on 1 July 2020, "Also is there any update on the investment, as I received on only one update since making the investment in 2014?" Did you get any material response to that?

G

A. No, because it was very hush hush. They were not supposed to give us because it was -- they were the shares of the CEO of Coinbase when he was trying to get liquidity. Armstrong was his first name. And so there was no real information, ever.

H

Q. Go to 1384, please. Again, we are in 2020, we are now 13 July 2020, so a couple of weeks after the email we have just been looking at with Rachel at Buena Vista. And again, you are in conversation with Mike Deeg, and Mike says to you on the insert there, half-way down, "I think I have already told you, but Aditi ran into Steve at a party the

A

other night. She was in SF last year.” “Who?” And then you say, “Where she asked him if the investment was fake, better not be.” What does that relate to?

A. This related to Coinbase. This was what I was just saying.

B

Q. That was in July 2020. Now look at 898, please. Mrs Zahmoul has alleged that you were effectively trying to cheat her and hide that information, and in September 2021, as a request, as a result of a request made by Withers, you carried out a search of your computer and your devices. Can you just explain to his Lordship what that was?

A. So that was -- we were trying to -- I guess she wanted to know every single conversation I had with something to do with Coinbase of the Topanga Canyon.

C

Q. Mr Zahmoul, I am sorry, but your voice has dropped slightly.

A. No, sorry, it was about... Sorry. All the emails that were related, the correspondence that I had received between Topanga Canyon and myself throughout -- since from February to April 14, 2021.

D

Q. So just before the flotation to the date that you received your Coinbase shares?

A. Yes.

Q. And the documents we have been looking --0 how did we find those documents? Where did these documents come from? The conversations with Mike Deeg ----

E

A. These were just conversations that I provided to show that I wasn't sure of the investment. I mean, it is not necessarily related to this. This was email... They wanted email from Topanga Canyon to me to show that there was a lot of communication between me and them around the IPO or ahead of the IPO.

F

Q. And was there any?

A. There were some, yeah. There were some that I missed. There were some, but as I said, I was in Morocco. I was overwhelmed and I missed some.

G

Q. And everything that you had, was that sent to Mrs Zahmoul's lawyers?

A. I believe so, yes.

Q. Okay. Have a look at 1387, please?

A. 13?

H

Q. 1387. This is a document that has popped up several times, and I noticed in Mr Molyneux's questions to you, he accepted that this was a document that was given to your wife in May 2017 ----

A. Yes.

A

Q. -- and you said to his Lordship that she then gave it back to you in I think May '20 sometime later. When did it come back to you?

B

A. Correct. So, basically this was in May -- in March 2, 2022 Withers sent us an email saying there is another asset that you have not disclosed which is this Ambulance that Mr Molyneux just went through ----

C

Q. Yes?

A. -- and in trying to prove that I hadn't disclosed Ambulance, they sent us this document that was put together by me in 2017. In case something happened to me in one of my travels, Nadia wanted to know who she should call on some of these, all the esoteric investments I had made over the years. So Sebacco(?) was a (inaudible) of my company, so she had to call a video ----

D

Q. All right. We are short of time, Mr Zahmoul, so I am just going to ask you this. When this document was sent to her in 2017, was there any discussion about it?

A. I don't recall. I don't think so.

E

Q. And would you have a look at 1389? I put these documents to Mrs Zahmoul to suggest to her that she knew about Coinbase. This is a document in 2018 from you to her, again listing assets and there in the middle we can see investments, and there are perhaps what you have referred to as your "esoteric investments", and Coinbase is listed. What did you understand Mrs Zahmoul would do with this document? What was it for?

F

A. It was for her to know. From time to time, I guess she wanted to know what assets I had, and this was something that I produced for her. And what's also relevant here is when you see an all -- some of the investments have been all around them, which means offshore versus onshore. This is "O" for onshore. And I had invested in TON. TON was also another exchange that was going to be a potentially extremely big exchange, but it was shut down by the SSC and it was done through our common friend, Ed Isler. And this is a similar change to Coinbase. So there was no way that this could have been misunderstood as being cryptocurrencies as opposed to an actual venture capital investments of private investments?

G

Q. Okay. And then again look at 1392 please.

H

A. Yes.

Q. We have looked at this a few times over the last few days. Mrs Zahmoul suggested, in response to my question, that this emoji from her when she saw your message about

A

Tiger Global investing in Coinbase was “good luck to the world”. What did you think her emoji was for?

A. She was congratulating me for a good investment because I had invested an effective valuation of Coinbase of half a million dollars and this was now worth \$8 million.

B

Q. It has been suggested to you generally that your intention was to hide or deceive Mrs Zahmoul about the \$5 million windfall in the Coinbase listing. We have seen the letter that your solicitors wrote on 16 July setting out the details about the Coinbase. Why was that letter sent?

C

A. To inform her about the change in the matrimonial assets -- to inform her about the Coinbase listing. It should have been sent earlier on.

Q. Would you have a look in the supplemental bundle please at page 13?

A. 13, yes.

Q. Yes. One three?

D

A. I guess there's two numbers on the page.

Q. I am sorry, Mr Zahmoul. I did not hear you?

A. I believe there are two numbers on. There is 12 in big and 13 ----

Q. Okay yes. I think it is the one on the side, so 13. The one in the bottom corner?

E

A. Yes.

Q. This is an email from you to Mr Burgess, of Burgess Mee, in November 2022?

A. Yes.

Q. What was the purpose of you proposing to meet?

F

A. This is when -- I mean I -- when he -- This is when I first heard he was representing her, I wanted to meet to basically suggest that I was willing to answer any question on anything with anyone. And I did the same thing with Ms Bloom when she was -- on August 1, when she sent me the email that she wanted me to send her the money.

G

Q. Okay. Go to page -- again, bottom corner if you would. Page 26. This is an email in French from you to Nadia, to your wife and to her father copied in. And that is the French. There is a letter that is covered in. If you go to page 29, we have the English translation.

H

A. Yes.

Q. Can you see there the third paragraph on page 29?

A. Yes.

Q. Did you get a response to that proposal?

A. No.

Q. Could you turn to page 2929 in the main bundle?

A. Yes, I'm there.

Q. This is a CV, it looks like, of Monica McGregor. Just remind his Lordship who she is?

A. Monica McGregor, I believe his Lordship ----

MR JUSTICE MacDONALD: I am aware of who Monica McGregor is.

MS CAMPBELL: Thank you. My Lord, I am conscious of the time. I still have got at least 20 minutes, and I do not want to put you or Mr Zahmoul under pressure, but I really would not be doing it justice if I did not finish.

MR MOLYNEUX: My Lord, a number of these questions, a number of these documents I have not even taken him to, so it needs to be re-examination, would be my principal observation.

MS CAMPBELL: I still need 20 minutes.

MR JUSTICE MacDONALD: Well, I would like to finish Mr Zahmoul today, but it does need to be, Ms Campbell by 10 to.

MS CAMPBELL: Let me try and focus so that that is not going to be difficult. (To the witness) Mr Zahmoul, it was suggested to you that you were putting Mrs Zahmoul under significant pressure to effectively enable you to get a deal done when she was without representation or without adequate representation. And I just want to have a look please, if we can, at the schedule you submitted to the court about expenses. You will find that at page 858, please. Can you just explain where the information came from to complete the schedule?

A. So this was a pretty painstaking exercise to take every single bank account and put each one of the entries in a spreadsheet. And I actually -- I believe I had sent a spreadsheet to the court as well on the ----

Q. Okay, so you have taken it from the core documents. Has Mrs Zahmoul had all of those core documents?

A. Correct, she has.

Q. And can we just look at the summaries, because there is some outside sources of funding here, but in relation to the amount spent on your daughters, what is the relevance of the period, January 2021 through to September 2023?

A. The beginning of the -- when I was first served by Ms -- Withers.

Q. Proceedings, thank you.

A. Can I, sorry.

MR JUSTICE MacDONALD: That is fine, thank you.

MS CAMPBELL: In relation to Gemini, we have an affidavit from your sister that is in the bundle. I am just going to put one question to you about this, Mr Zahmoul. Mr Molyneux's case is that effectively you were either parking assets with Layla, your sister, or you were trying to hide the asset that remains with her. I think that is the suggestion. Can you explain to his Lordship what the position is about the Bitcoins with your sister?

A. My sister got married for the first time when she was 56 years old.

MR JUSTICE MacDONALD: Again, Ms Campbell ----

MS CAMPBELL: You have explained the background.

MR JUSTICE MacDONALD: -- we have been over this ground. A lot of this I am aware of, and a lot of the documents I can look at for myself.

MS CAMPBELL: I will come back to those in submissions then, my Lord. Thank you. (To the witness) Would you please turn to page 4183, Mr Zahmoul -- and I am conscious that might be at the end of the bundle.

A. Yes.

Q. These documents that we are looking at, there are a number of tables here, but these are all accompanying the letter from your Portuguese advisors, and I think it is the 21 document advice that we are looking at. Mr Molyneux asked for tables of income that were referred to in the letter. Are they here in these documents?

A. I think he asked for bank accounts.

Q. Okay. Oh, I misunderstood, I am sorry.

A. But they are here. Some of them are here in the documents, yes. Some of them are in the 2020 and 2021 tax returns, where it is the same UBS bank account that I was accused not to have disclosed, but we showed in the response to the conduct statement that it was there, and it was always there, and it was in my Form E . So it is the same bank account number that Mr Luis had put into the tax authorities.

Q. Alright, have a look at 3593 please. Mrs Zahmoul has raised a number of questions about the Portuguese tax returns, and Mr Molyneux was able to put some of them to you. This is a document again provided by the Portuguese advisor. Can you just explain to his Lordship what this document is?

A

A. So this was a response to table 2 that Valeria had painstakingly helped me put together, where she basically went through... I had responded very generically using ----

Q. Just so we are clear, a response to what?

A. To Nadia's accusation of figure 2 of her... Was it the conduct pleading?

B

Q. So in the conduct statement, where her second table refers to all of the amounts that she says you were hiding under the Portuguese tax return ----

A. Yes.

Q. -- this is a line-by-line response.

A. Correct.

C

Q. I misrepresented it as something prepared by the accountant?

A. No, no.

Q. This is prepared by you.

A. By me, yes.

D

Q. And it is a detailed response to each of the lines in Mrs Zahmoul's ----

A. Yes.

Q. -- table.

A. Yes.

E

Q. Mr Zahmoul, are you hiding money?

A. No.

Q. Are you hiding cryptocurrencies or wallets?

A. No.

F

Q. Is there anything that you are trying to hide from Mrs Zahmoul in these proceedings?

A. I am not trying to hide anything from Mrs Zahmoul.

Q. Thank you, my Lord. I am grateful.

G

MR JUSTICE MacDONALD: Thank you very much. Ms Campbell, I do not have any further questions. Mr Zahmoul, Thank you for your evidence. I can release you from oath and I will allow you to return to your seat?

A. Thank you.

(The witness withdrew)

H

MR JUSTICE MacDONALD: I propose, Ms Campbell, unless the position has changed, to now leave leading and junior counsel to give consideration to closing submissions tomorrow and to hear them on Wednesday.

MS CAMPBELL: Very well, my Lord.

IN PRIVATE

MR JUSTICE MacDONALD: At 10.30.

MS CAMPBELL: Really helpful. Thank you.

MR JUSTICE MacDONALD: Thank you very much.

(Adjourned until 10.30 a.m. on Wednesday 28 February 2024)

Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.

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